BERNSTEIN
SOCIETE GENERALE GROUP

10 November 2026

European Chemicals

The Future of European Chemicals: M&A as a method of consolidation - friend or foe?



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We could be on the cusp of a wave of European diversified / commodity chemicals M&A. Management teams have spent years talking about a need for consolidation in Europe, in order to help address the competitiveness gap versus the rest of the world. But rhetoric could start to become action. With no imminent change to Europe's relative cost position, earnings momentum at least becoming less negative, and Chemicals market caps / index weights declining, M&A could tick up with BASF-Evonik (NC) at the vanguard. For investors, the key questions are identifying the possible targets in the short-term and the success of mergers over the longer term. BASF's pursuit of Evonik means we need to consider a broad range of possible targets, albeit we consider some more likely than others. Longer-term we keep an open mind around M&A. We see the need for consolidation in some form, but large M&A deals do not always have a good track record of value creation and this is not a fix for Europe's structural issues. We believe good mergers can be derailed by tough macro conditions, whilst bad deals can succeed with sufficient market tailwinds.

BASF-Evonik: we think it will happen at around ~€27/share, and we are lukewarm. We lower our BASF-Evonik Year 3 cost synergy estimates from €750m to €617m, now more granularly forecasting synergies towards the low end of historical precedents ex-sites and operational personnel. Our updated merger model (available on request) says the numbers work for BASF on €29+ (62% premium to the undisturbed share price). However, we think the most likely outcome is that BASF-Evonik gets done at ~€27/share (50% premium). In terms of the success of the merger in this decade however, we come back to the same worry we identified in our previous report on BASF-Evonik - merger synergies may mean little if transaction risk and more European exposure reduces valuation multiples.

There could be opportunities for investors to benefit from broader consolidation by investing in targets. While there is limited direct product overlap across the broader European diversified / commodity universe, this does not preclude deals from happening. In our coverage, we believe takeovers of Clariant (litigation) or Solvay (earnings revisions in soda ash) are lower probability. However, Syensqo could become a target if / when Novecare exits the portfolio, and Arkema could attract attention, albeit we do not see the key shareholders as likely sellers.

Ultimately, the success of M&A depends on a healthy backdrop for European chemicals. Lower staff / maintenance costs will only have limited impact if fundamentals remain weak - the equivalent of re-arranging the deck chairs on a sinking ship. We are currently unenthusiastic about the prospects of material new European chemicals industry support, hence our view that capacity closures are important as a form of consolidation alongside M&A.

We prefer M&A that features product / value chain consolidation. For example, we believe **Syensqo and Victrex (NC)** could combine to create a European polymer champion given the increasing Chinese PEEK competition. And **BASF and INEOS Chemicals (private)** would be a global heavyweight European upstream player, and is in our view synergistic and easier for the German labour unions.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our Global Research Disclosure Website.

First Published: 10 Nov 2026 05:05 UTC Completion Date: 09 Nov 2026 21:39 UTC

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BERNSTEIN TICKER TABLE

			9 Nov 2026		TTM	Adjusted EPS				Adjusted P/E (x)	
Ticker	Rating	Cur	Closing Price	Price Target	Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
AI.FP (Air Liquide)	O	EUR	189.46	199.00	8.8%	EUR	6.07	6.58	7.30	34.3	31.4	27.3
APD (Air Products)	O	USD	304.84	375.00	8.1%	USD	13.45	14.42	15.87	22.7	21.1	19.2
AKZA.NA (Akzo Nobel)	M	EUR	63.98	64.00	(3.0)%	EUR	3.63	3.80	4.15	17.6	16.8	15.4
AKE.FP (Arkema)	M	EUR	57.30	65.00	(2.7)%	EUR	4.32	4.64	5.31	13.3	12.4	10.8
BAS.GR (BASF)	O	EUR	53.92	59.00	11.9%	EUR	2.24	3.38	2.77	24.1	16.0	19.5
BOROUGE.UH (Borouge)	M	AED	2.26	2.39	(24.2)%	USD	0.04	0.02	0.04	16.8	25.7	16.4
CF (CF Industries)	O	USD	119.39	162.00	34.4%	USD	8.97	15.37	11.97	7.8	5.5	6.7
CLN.SW (Clariant)	M	CHF	10.77	10.00	51.5%	CHF	0.68	0.64	0.75	15.9	16.9	14.3
LIN.UW (Linde)	O	USD	515.25	569.00	9.9%	USD	16.46	17.90	19.44	31.3	28.8	26.5
PPG (PPG)	O	USD	122.38	137.00	18.8%	USD	7.64	8.00	8.75	16.0	15.3	14.0
SOLB.BB (Solvay)	M	EUR	24.46	24.10	(22.4)%	EUR	2.83	1.89	2.34	8.6	13.0	10.4
SYENS.BB (Syensqo)	O	EUR	77.35	89.00	(3.1)%	EUR	3.72	3.47	4.22	20.8	22.3	18.3
SABIC.AB (Saudi Basic Industries)	M	SAR	48.30	60.71	(23.0)%	SAR	(8.64)	0.25	1.81	11.3	10.5	8.0
EDME			1,627.88									
SPX			7,549.94									
ASIAX			1,745.18									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

SABIC.AB estimate is Reported EPS; AI.FP valuation is Reported P/E (x); CF, SABIC.AB valuation is EV/EBITDA (x); APD base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We are not against M&A in the European diversified / consolidated chemicals industry, but would prefer to avoid attempts to generate scale for its own sake. But ultimately, the success of any transaction is likely dependent on the underlying health of Europe's chemical industry.

We rate Air Liquide, Air Products, BASF, CF Industries, Linde, PPG and Syensqo Outperform. We rate Akzo Nobel, Arkema, Borouge, Clariant, Sabic and Solvay Market-Perform.

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DETAILS

THE FUTURE OF EUROPEAN CHEMICALS SERIES

Uncertainty reigns in European chemicals. We are dealing with conflict in the Middle East (link); mixed signals on a possible cyclical recovery (link); and words rather than actions from European supranational bodies (The Future of European Chemicals: The carbon tax conundrum - updated for last week's ETS changes). With share prices understandably volatile in 2026 YTD, we think the current chaos is as good a time as any to consider the major long-term drivers for the European Chemicals industry. We therefore start a series on the Future of European Chemicals, with the aim of determining to what degree the chemicals industry in Europe is investable longer-term. After all, why would investors endure the inevitable cycles if the pot of gold at the end of the rainbow is empty?

Over the coming months we envision tackling topics such as trade policy, R&D, demand, AI and probably more that will surprise us along the way.

Reports in the series so far:

- **Carbon taxes:** The Future of European Chemicals: The carbon tax conundrum and The Future of European Chemicals: The carbon tax conundrum - updated for last week's ETS changes
- **Capacity closures and integration:** The Future of European Chemicals: Capacity closures and the integration advantage

This report focuses on M&A / consolidation. For an industry under pressure, European chemicals has seen surprisingly little scale M&A outside a few specialty subsectors. We think this may be about to change, with BASF already bidding for Evonik (see report BASF: Our Evonik merger maths works, but the equity story becomes more complicated). And while M&A may deliver synergies even without staff / site cuts, consolidation is not without risk and is no cure for some of the deeper issues impacting European Chemicals.

"The chemical industry is consolidating, one way or another. The question is: Do we shape this ourselves? As German companies, with our values, our model of co-determination and our social partnership? Or do we wait until European chemical companies are overtaken in global competition or increasingly acquired by foreign investors? A combination of BASF and Evonik would be a strong German response to global competition."

BASF CEO Markus Kamieth, 22 October 2026

M&A IN EUROPEAN CHEMICALS

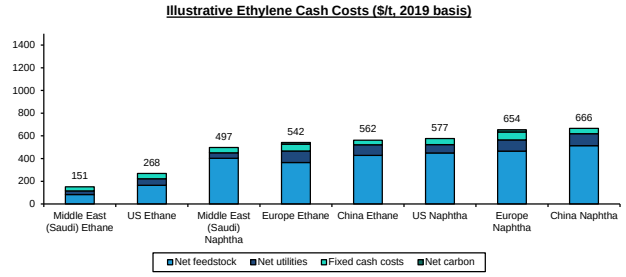
We see two key drivers for chemical industry consolidation in Europe. The first follows traditional economic theory: to reduce costs and capacity.

Europe has historically one of the most expensive places in the world to make chemicals. This was exacerbated by Russia invading Ukraine. We use the example of ethylene cash costs across four of the main production regions over time to make this point in a more granular fashion (Exhibit 1, Exhibit 2). Even excluding feedstock costs, which often depend on access to resources, Europe is very clearly behind peers on the other costs (Exhibit 3). Some of these cash costs are also beyond the scope of companies to set and is more defined by politics. In particular, we reference carbon taxes, which we have covered in more detail in The Future of European Chemicals: The carbon tax conundrum - updated for last week's ETS changes, and net utility costs / power (Exhibit 4). Nevertheless, we still see fixed costs as higher in Europe than other parts of the world (Exhibit 5). Consolidation can drive purchasing gains on the feedstock / raw material side and reduce labour / SG&A fixed costs.

Consolidation enables capacity reductions. In our previous report in the series we focused on Europe's overcapacity problem (The Future of European Chemicals: Capacity closures and the integration advantage). We encourage readers to go through the note in more detail, but the one line conclusion with respect to M&A is a more consolidated market will find it easier to address overcapacity issues in the name of synergies.

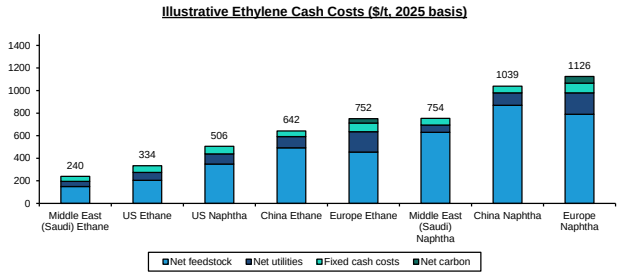
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EXHIBIT 1: **Europe's position on the global ethylene cost curve has worsened (1/2)**



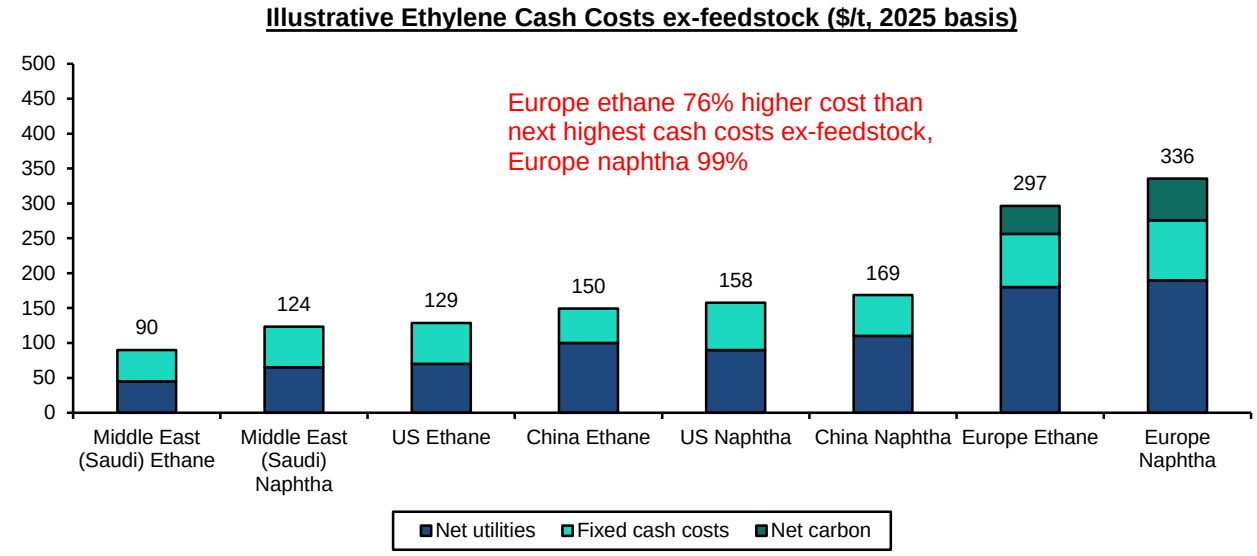
Source: Bloomberg, BCG, Business Chemistry, Intratec, Bernstein estimates and analysis

EXHIBIT 2: **Europe's position on the global ethylene cost curve has worsened (2/2)**



Source: Bloomberg, BCG, Business Chemistry, Intratec, Bernstein estimates and analysis

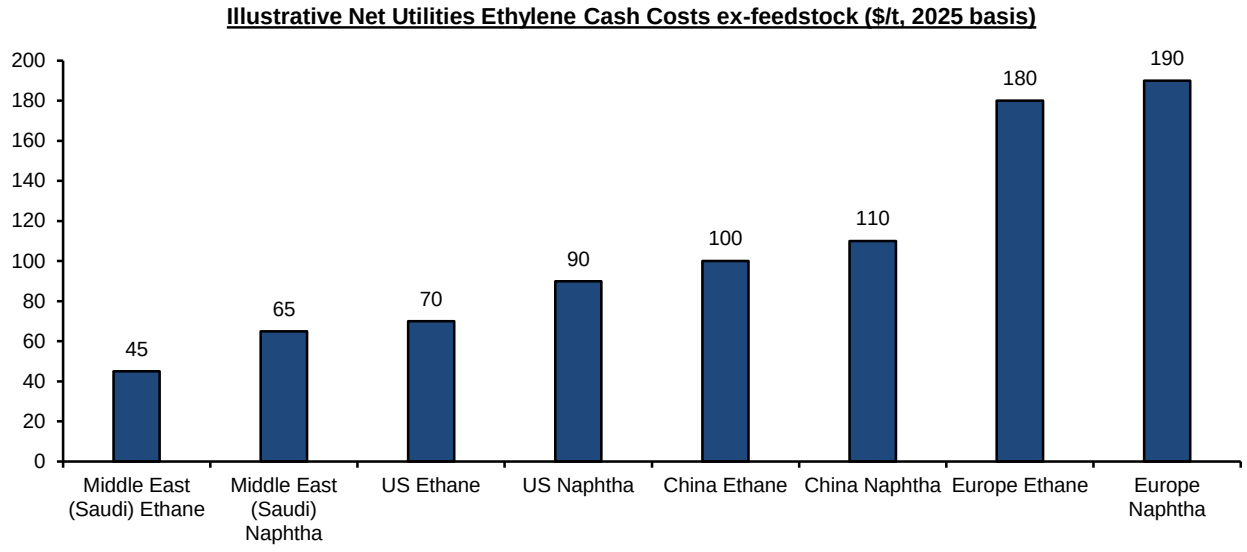
EXHIBIT 3: **Europe is far behind other regions on ex-feedstock costs for ethylene**



Source: Bloomberg, BCG, Business Chemistry, Intratec, Bernstein estimates and analysis

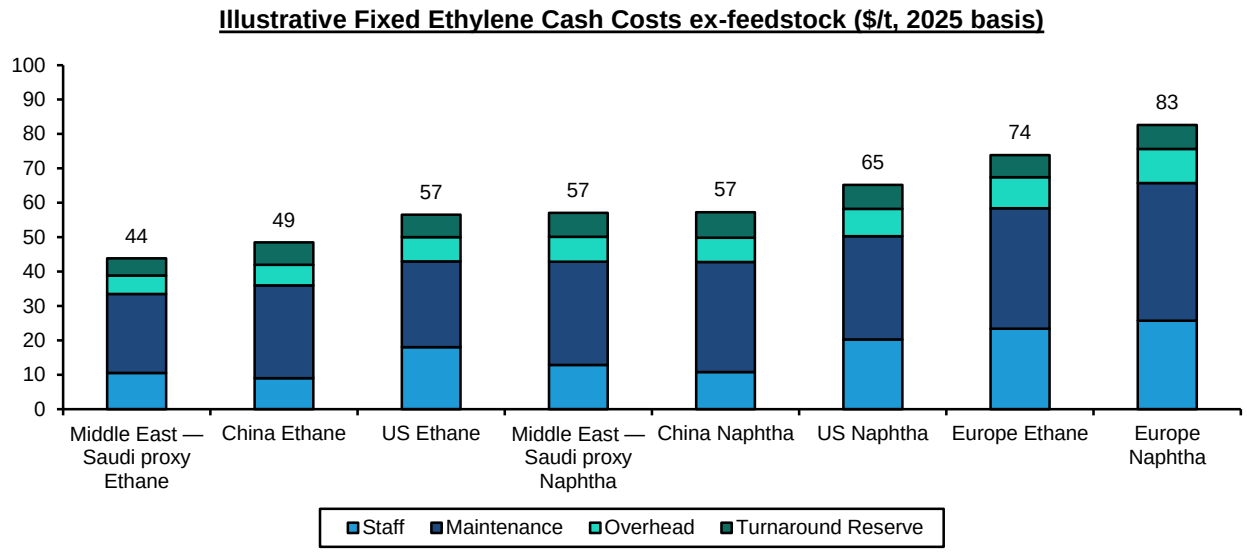
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EXHIBIT 4: **Europe's power costs are materially higher than other major chemical production regions**



Source: Bloomberg, BCG, Business Chemistry, Intratec, Bernstein estimates and analysis

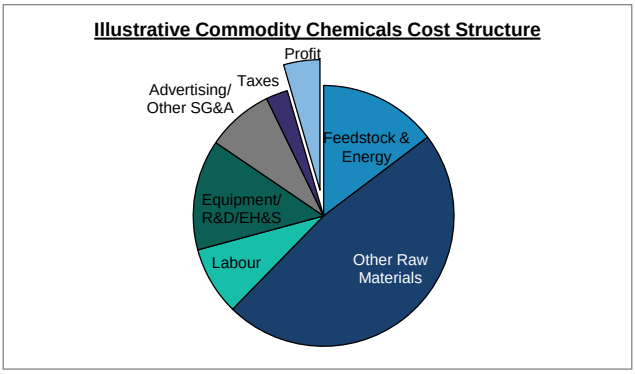
EXHIBIT 5: **Europe's fixed cash costs are also higher than other major chemical production regions**



Source: Bloomberg, BCG, Business Chemistry, Intratec, Bernstein estimates and analysis

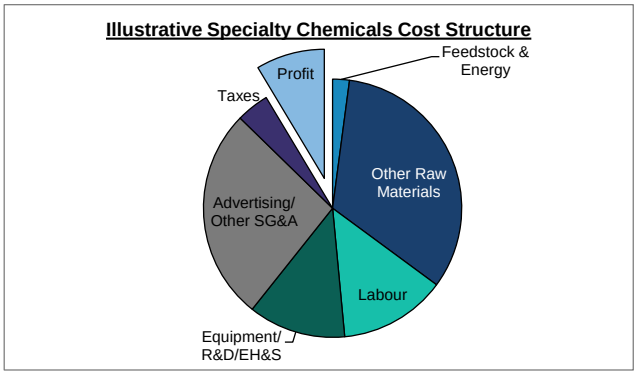
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EXHIBIT 6: **Commodity chemicals typically have more of their cost in feedstock, energy and raw materials...**



Source: ACC, Bernstein analysis

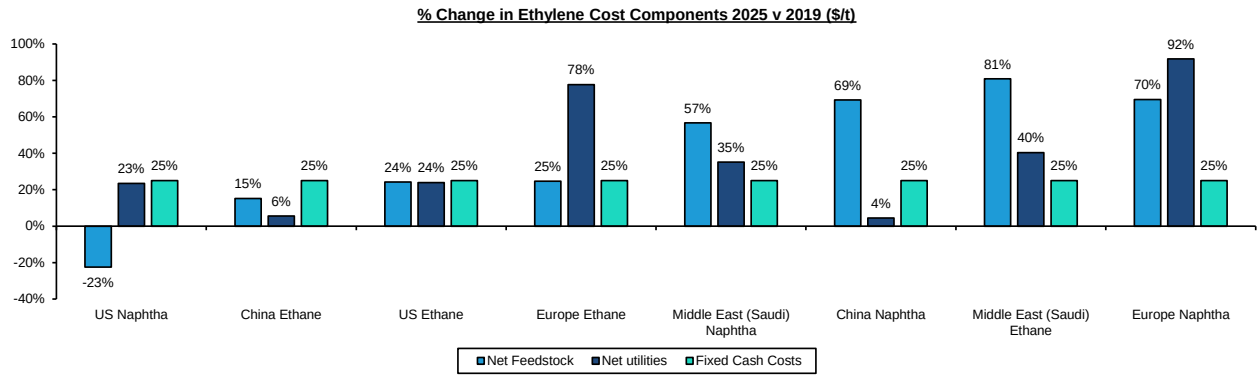
EXHIBIT 7: **...whereas specialty chemicals use more R&D, labour and SG&A.**



Source: ACC, Bernstein analysis

Consolidation alone is not a fix to Europe's chemical cost issues. Over the 2019-2025 period for ethylene costs, we model cash fixed costs increasing a similar percentage, as wages grow globally, albeit Europe is growing from a higher base. But where Europe stands out in terms of cost increases is on net utilities and feedstock (Exhibit 8). Although the Middle East has raised feedstock prices higher on average - caused by our use of Saudi economics as a proxy and their capital allocation - European feedstock costs remain elevated. But where Europe stands out versus peers is utility cost increases, and the fact they have outsized carbon tax burdens. Improved purchasing and lower fixed costs can assist, but until Europe can really address feedstock / power price / carbon regimes versus other chemical producing regions, the battle for survival will continue.

EXHIBIT 8: **Europe has seen high rises in feedstock and utility costs over 2019-25**

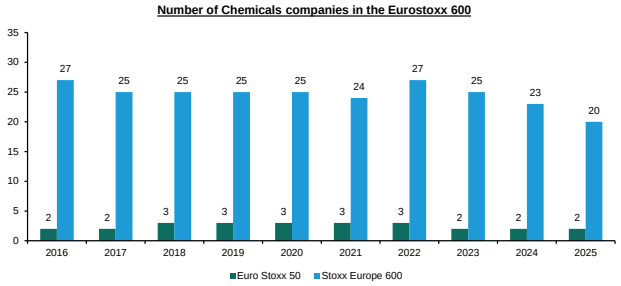


Source: Bloomberg, BCG, Business Chemistry, Intratec, Bernstein estimates and analysis

The second reason for more M&A is perhaps more cynical: chemicals is becoming less relevant to equity investors. Many of our clients cannot look at a stock less than $10bn market cap. Historically, this included a broad range of chemicals companies. Particularly in the last 2-3 years, the number of relevant chemicals companies and their market cap weighting in indices is declining both in Europe and in the US (Exhibit 9-Exhibit 12). As index investing continues to grow, there becomes a greater argument for scale to access greater pools of capital to reverse this trend, and M&A is one way to do this in an uncertain fundamental environment. We also note here that larger companies tend to have higher levels of management compensation.

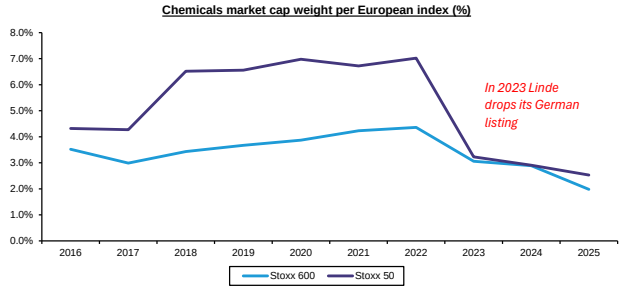
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EXHIBIT 9: **Chemicals is becoming a less important part of major European stock indices (1/2)**



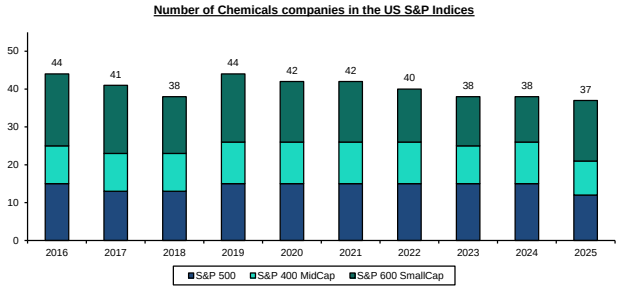
Source: Bloomberg, Bernstein analysis

EXHIBIT 10: **Chemicals is becoming a less important part of major European stock indices (2/2)**



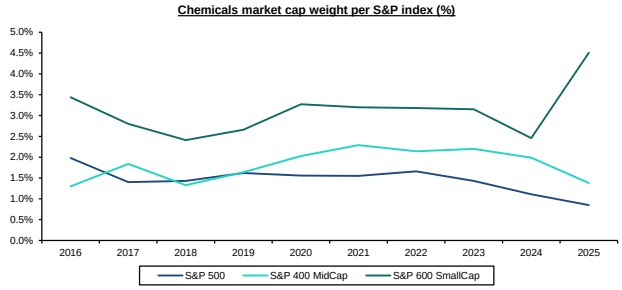
Source: Bloomberg, Bernstein analysis

EXHIBIT 11: **In the US, chemicals is becoming a small cap sector (1/2)**



Source: Bloomberg, Bernstein analysis

EXHIBIT 12: **In the US, chemicals is becoming a small cap sector (2/2)**



Source: Bloomberg, Bernstein analysis

Why haven't we seen more (diversified / commodity) chemicals M&A? Many of the aforementioned issues have been plaguing Chemicals since 2022, and yet in diversified / commodity chemicals specifically there has been little scale M&A apart from XRG's takeover of Covestro. We see 5 key reasons for the lack of deals:

1. **Hope.** At various points in the last few years, optimism has increased that better days are ahead for European chemicals, be it through state support or an end to the war in Ukraine. It makes Boards less likely to accept a takeover premium if more value can be delivered by hanging on until the market recovers.

2. **Declining estimates.** In specialty chemicals, we have seen a stream of consolidation since Russia invaded Ukraine (e.g. Akzo-Axalta (included as Axalta has substantial European operations), DSM-Firmenich, Novozymes-Chr Hansen). In the past 4 years, we have seen almost double the M&A deals in Specialty than in Commodity Chemicals (Exhibit 14). Specialty chemicals have endured these conditions far better, and so there is less reason to delay M&A plans. But EBITDA revisions in the diversity / commodity group have been negative (Exhibit 15). These ongoing estimate declines create less urgency around an M&A decision. However, perhaps 2026's Iran-related cycle has provided some impetus for companies to believe the worst is over (Exhibit 17).

3. **M&A where the seller pays.** One of the consolidating forces in Europe has been Aequita (NC), who have "acquired" European assets from LyondellBasell and Sabic. And by "acquired", we mean that their counterparties have paid them to take assets away, in LYB's case directly and in Sabic's case though vendor notes only repayable if the deal goes well. In combination with point 2 above, it means a less conducive environment to make acquisitions.

4. **Consolidation via closures.** Diversified / commodity chemicals in Europe have been consolidating in a different way to M&A: through capacity closures (Exhibit 18). We go into this topic in more detail in this report: The Future of European Chemicals: Capacity closures and the integration advantage, but one of the typical benefits of M&A can be reducing excess capacity (e.g. the industrial gas mergers of the 2010s - see The Bernstein Industrial Gases Primer: How the industry structure can support long-term outperformance). Closures have been recently taking their place.

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5. **Many of Europe's diversified chemicals companies have limited direct product overlap.** M&A theory would say that combining two competitors leads to the most synergies. But a review of the key chemistries of many of the European diversified / commodity players shows limited overlap (Exhibit 19). Therefore, one needs to be a little creative to justify M&A, which gets harder in combination with the previous 4 points.

It therefore makes sense that 2026-2027 could see a Chemicals M&A renaissance. In particular, ongoing higher costs, the end of declining estimates, slower recent closure momentum and even the more cynical reasons causing management teams to possibly overlook point 5 could combine to produce a new wave of deal activity.

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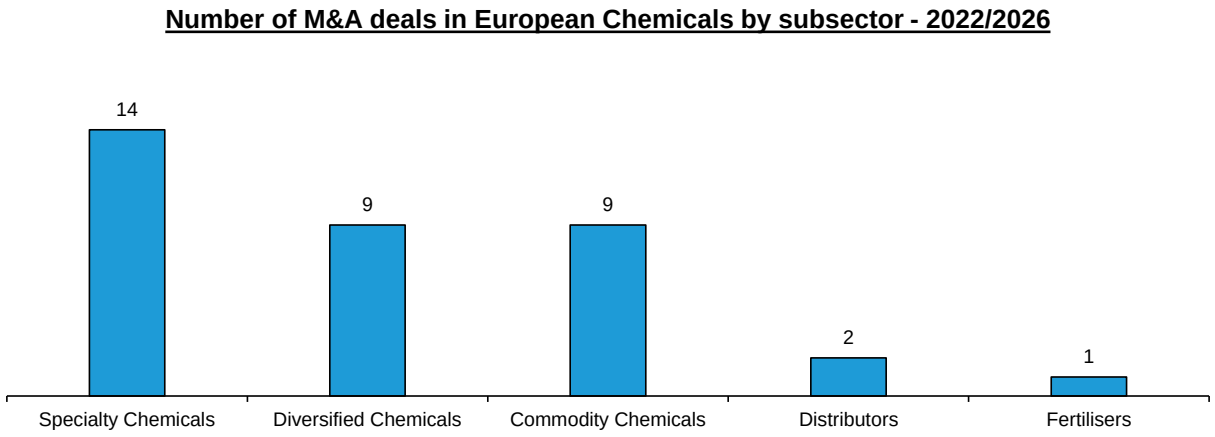
EXHIBIT 13: **European Chemicals M&A targets since Russia invaded Ukraine**

Announced date	Target / business	Target geography	Target type	Subsector	Buyer	Stake / perimeter	Status as of Oct-2026	Consideration (LCm)	Reported target sales (LCm)	Currency
20-Apr-2022	DSM Protective Materials (Dyneema)	Netherlands	Carve-out	Specialty Chemicals	Avient	100%	Completed Sep-2022	1,485	400	USD
17-May-2022	Perstorp Holding AB	Sweden	Company	Specialty Chemicals	PETRONAS Chemicals Group	100%	Completed Oct-2022	2,300	N/D	EUR
31-May-2022	DSM	Netherlands	Merger	Specialty Chemicals	Firmenich	100%	Completed May-2023	19,200	4,600	EUR
31-May-2022	DSM Engineering Materials	Netherlands	Carve-out	Diversified Chemicals	Advent International / LANXESS	100%	Completed Apr-2023	3,850	1,500	EUR
29-Sep-2022	ADOB Fertilizers	Poland	Company	Fertilisers	Nouryon	100%	Completed Jan-2023	N/D	N/D	N/D
21-Oct-2022	Evonik TAA Derivatives business	Germany / China	Carve-out	Diversified Chemicals	SABO	100%	Completed Dec-2022	N/D	N/D	N/D
12-Dec-2022	Chr Hansen	Denmark	Merger	Specialty Chemicals	Novozymes	100%	Completed Jan-2024	80,700	1,200	N/D
28-Feb-2023	Orange Chemicals Ltd	United Kingdom	Company	Distributors	IMCD	100%	Completed Feb-2023	N/D	N/D	N/D
22-Mar-2023	MBCC Admixtures / Master Builders Solutions	Germany	Carve-out	Specialty Chemicals	Cinven	100%	Completed May-2023	N/D	N/D	N/D
06-Apr-2023	Evonik Lülsdorf site and Wesseling cyanuric chloride	Germany	Assets / business	Diversified Chemicals	ICIG	100%	Completed Jun-2023	N/D	300	N/D
01-May-2023	Beardow Adams	United Kingdom	Company	Specialty Chemicals	H.B. Fuller	100%	Completed May-2023	81	130	GBP
14-Jun-2023	HCS Group	Germany	Company	Diversified Chemicals	ICIG	100%	Completed Sep-2023	N/D	490	N/D
05-Jul-2023	TotalEnergies interests in Lavera petrochemical JVs	France	Assets / JV stakes	Commodity Chemicals	INEOS	50% stakes acquired	Completed Apr-2024	N/D	N/D	N/D
18-Apr-2024	Proionic GmbH	Austria	Company	Specialty Chemicals	Arkema	78%	Announced / acquired stake	N/D	2.5	N/D
04-Mar-2024	Evonik Superabsorbers business	Germany / United States	Carve-out	Commodity Chemicals	ICIG	100%	Completed Aug-2024	N/D	892	EUR
25-Jul-2024	Merck Surface Solutions	Germany	Carve-out	Specialty Chemicals	Global New Material International	100%	Completed Jul-2025	665	>400	EUR
22-Aug-24	APK AG	Germany	Company / insolvency	Commodity Chemicals	LyondellBasell	100%	Completed / rescued	N/D	N/D	N/D
08-Sep-24	OCI Global international methanol business	Netherlands / United States	Carve-out	Commodity Chemicals	Methanex	100%	Completed Jun-2025	2,050	N/D	USD
01-Oct-24	Covestro AG	Germany	Public company	Commodity Chemicals	ADNOC International / XRG	All outstanding shares	Regulatory process / offer agreed	11,700	N/D	EUR
03-Oct-24	LANXESS Urethane Systems	Germany / global	Carve-out	Commodity Chemicals	UBE	100%	Completed Jun-2025	460	~265	EUR
11-Oct-24	Heubach Group global pigments business	Germany / global	Distressed assets and shares	Diversified Chemicals	Sudarshan Chemical Industries	100% perimeter	Completed Mar-2025	128	>1,000	EUR
11-Feb-25	dsm-firmenich stake in Feed Enzymes Alliance	Switzerland / Netherlands	JV stake / commercial activities	Specialty Chemicals	Novonesis	50% alliance stake and sales activities	Completed Jun-2025	1,500	~300	EUR
05-Jun-25	Lyondel Basell Europe	France, Germany, UK, Spain	Carve-out	Commodity Chemicals	AEQUITA	100%	Completed May-2026	N/D	N/D	EUR
10-Oct-25	BASF Coatings (OEM, refinish and surface treatment)	Germany / global	Carve-out	Specialty Chemicals	Carlyle / Qatar Investment Authority	60% control; BASF retains 40%	Completed Jun-2026	7,700	~3,700	EUR
31-Oct-25	Syensqo Oil & Gas business unit	Belgium / global	Carve-out	Diversified Chemicals	SNF Group	100%	Completed Jan-2026	135	N/D	EUR
16-Dec-25	Airedale Group	United Kingdom	Company	Distributors	Brenntag	100%	Completed Feb-2026	N/D	81	N/D
06-Jan-26	Arkema selected Plastic Additives businesses	France / Netherlands / Asia	Carve-out	Diversified Chemicals	Praana Group	Selected businesses	Proposed / subject to consultation	N/D	44	N/D
08-Jan-26	SABIC European Petrochemicals business	UK / Netherlands / Germany / Belgium	Carve-out	Commodity Chemicals	AEQUITA	100%	Agreed; closing pending/underway	500	N/D	USD
08-Jan-26	SABIC Engineering Thermoplastics Europe & Americas	Spain / Netherlands / Americas	Carve-out	Commodity Chemicals	Mutares	100% perimeter	Agreed; closing pending/underway	450	N/D	USD
16-Jan-26	ATP Adhesive Systems	Switzerland	Company	Specialty Chemicals	Henkel	100%	Agreed; regulatory approvals pending	N/D	~270	N/D
04-Feb-26	Stahl Parent B.V.	Netherlands	Company	Specialty Chemicals	Henkel	100%	Agreed; regulatory approvals pending	2,100	~725	EUR
09-Feb-26	dsm-firmenich Animal Nutrition & Health	Switzerland / Netherlands	Carve-out	Diversified Chemicals	CVC Capital Partners	80%; seller retains 20%	Expected completion end-2026	2,200	~3,500	EUR
29-Apr-26	Treatt plc	United Kingdom	Public company	Specialty Chemicals	Döhler	Recommended offer	Expected completion Q3-2026	183	N/D	GBP
13-May-26	DOMO Chemicals Engineered Materials business	Belgium / Europe	Distressed carve-out	Diversified Chemicals	Lone Star Funds	Selected business/assets	Completed May-2026	N/D	N/D	N/D
05-Jun-26	Eurofragance	Spain	Company	Specialty Chemicals	Givaudan	Majority stake	Agreed; regulatory approvals pending	N/D	~185	N/D

Source: Company information, Bloomberg, Bernstein analysis

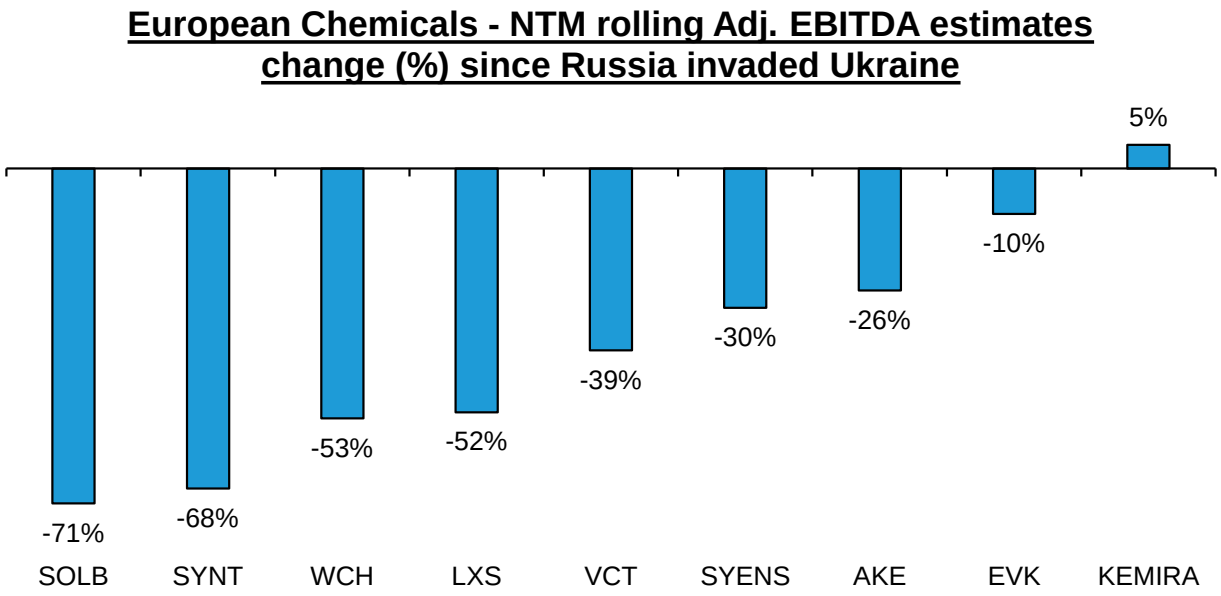
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EXHIBIT 14: **Specialty Chemicals have consolidated faster than the other subsectors in the past 4 years**



Company information, Bloomberg, Bernstein analysis

EXHIBIT 15: **Most European Chemicals companies have seen estimates cuts since the start of the war (1/2)**

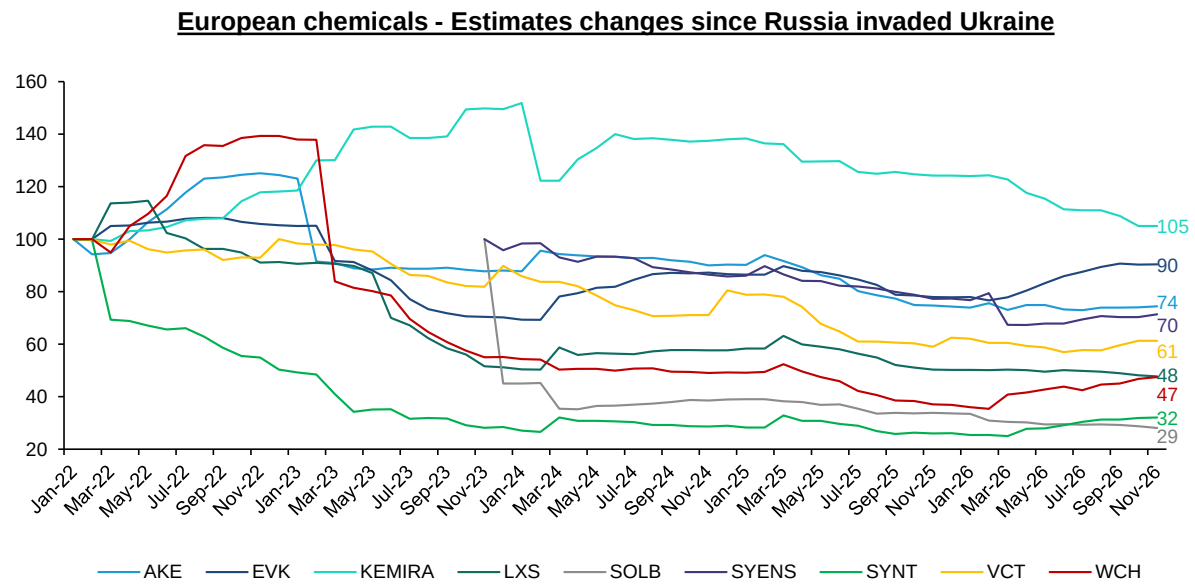


Solvay and Syensqo since separation;

BASF and Clariant excluded from the analysis as M&A distorts the results
Source: Bloomberg, Bernstein analysis

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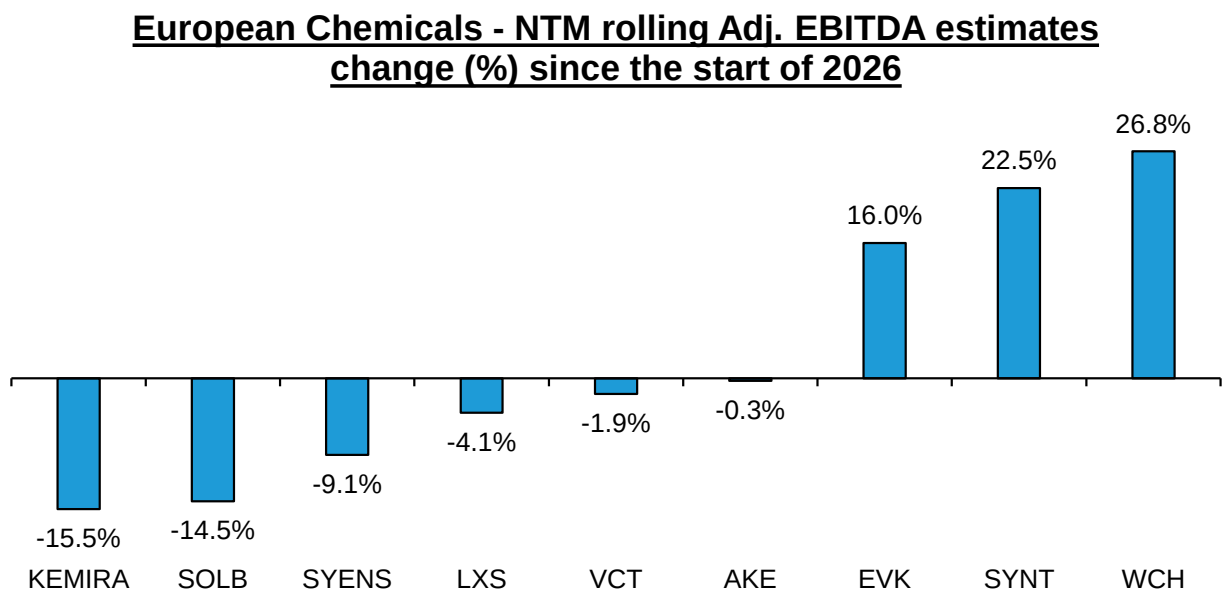
EXHIBIT 16: **Most European Chemicals companies have seen estimates cuts since the start of the war (2/2)**



Solvay and Syensqo since separation;

BASF and Clariant excluded from the analysis as M&A distorts the results
Source: Bloomberg, Bernstein analysis

EXHIBIT 17: **Estimates have mostly stabilised / improved since the start of 2026**



Source: Bloomberg, Bernstein analysis

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EXHIBIT 18: **Detailed European permanent plant closure by product since 2022**

Company	Site	Products	Status
ARLANXEO Elastomeres	Port Jerome, France	Polybutadiene Rubber (100), SBR (40)	Plans to cease operations Oct 2025
Arkema	Jarrie, France	Caustic Soda (83), Chlorine (74)	Forced to cease operations after halt to supplies from mid 2025
BASF	Ludwigshafen, Germany	Ammonia (430), Capro (95), Cyclohexanone (95), Cyclohexanol, Soda Ash, TDI (300), Adipic Acid (202)	Units to close or stop producing, with an additional €1bn in cost savings from 2023
Belgotex International - Nyobe	Kruishoutem, Belgium	Nylon (40)	Intends to close after facing continuous losses August 2024
Celanese	Lanaken, Belgium	Acetate tow	To close in H1 2026, affecting about 160 jobs
Celanese	Mechelen, Belgium	Engineered materials compounding site	Closed by September 2024
Celanese	Uentrop, Germany	PAM Resins 6+66 (108)	Closed by February 2024
Cepsa	Huelva, Spain	Cyclohexane (180)	Closed by end of 2023
CF Industries	Billingham, UK	Ammonia and other fertilisers	Closed in 2023
Dow	Barry, United Kingdom	Methyl chloride (60), siloxanes	To shutdown by mid 2026
Dow	Bohlen, Germany	Ethylene (610)	To shutdown in Q4 2027
Dow	Schkopau, Germany	Caustic Soda (280), Chlorine (250), EDC (530), Methylene Chloride (25), VCM (330)	To shutdown in Q4 2027
Dow	Terneuzen, Netherlands	Ethylene (680), Propylene (340)	To idle cracker in Q2 2025 until conditions improve
Dow	Tertre, Belgium	Polyether Polyols (55)	To close by end of Q1 2026
Eni	Brindisi, Italy	Ethylene (468), Propylene (255)	Announced closure in October 2024 to refocus on low carbon and specialty production
Eni	Priolo, Italy	Ethylene (490), Propylene (250)	Announced closure in October 2024 to refocus on low carbon and specialty production, production shutdown process to start in July 2025 and will be completed within 18 months
Eni	Ragusa, Italy	LDPE (151)	Announced closure in October 2024 to refocus on low carbon and specialty production
ExxonMobil	Fife, Scotland	Ethylene (830)	To close in Feb 2026 due to poor market conditions, high costs
ExxonMobil	Gravenchon, France	Ethylene (425), Propylene (290), LLDPE (1,011)	Closed cracker and related derivative units in 2024
Fortischem	Novaky, Slovakia	PVC (90)	Will close at least some of its PVC capacity in early 2025
Huntsman	Moers, Germany	MA (45)	To shut by end of Q2 2025
Indorama Ventures	Sines, Portugal	PTA (700)	Mothballed since October 2023
Indorama Ventures	Rotterdam, Netherlands	PET (426), PTA (700)	Officially proceeded with closure in July 2024
INEOS	Grangemouth, UK	Ethanol (310)	Permanent closure confirmed due to high carbon taxes and energy costs in Q1 2025
INEOS Inovyn	Rheinberg, Germany	Caustic Soda (201), Chlorine (180), ECH (52)	Will close chlor-alkali, allylics and ECH capacity from October 2025
INEOS Inovyn	Tavaux, France	Methylene Chloride (30)	Mothballed production from September 2025
INEOS Oxide	Dormagen, Germany	Propylene Oxide (210), Propylene Glycols (120)	Permanently shuttered with immediate effect from September 2025
INEOS Phenol	Gladbeck, Germany	Acetone (403), Phenol (650)	To permanently close end of 2027
INEOS Styrolution	Wingles, France	Polystyrene (120)	To permanently shutdown to adapt to changing market condition
LyondellBasell	Berre, France	Butadiene (80), Ethylene (465), LDPE (320), Polypropylene (350), Propylene (255)	Sale agreement to German industrial investment group AEQUITA
LyondellBasell	Muenchmuenster, Germany	Ethylene (300), HDPE (320), Propylene (190)	Sale agreement to German industrial investment group AEQUITA
LyondellBasell	Brindisi, Italy	Polypropylene (260)	European assets under review
LyondellBasell	Tarragona, Spain	Polypropylene (390)	Sale agreement to German industrial investment group AEQUITA
LyondellBasell	Carrington, UK	Polypropylene (210)	Sale agreement to German industrial investment group AEQUITA
LyondellBasell	Maasvlakte, Netherlands	Propylene Oxide (315), Styrene (680)	Shutdown of joint venture confirmed, to be demolished between 2025 and 2026
Mitsubishi Chemical	Billingham, UK	MMA (200)	Permanently closed in H1 2023
Novapet	Barbastro, Spain	PET Resins (100)	Number two unit to be down for foreseeable future as company expands specialty business and captive resin operations
Orlen	Plock, Poland	Phenol (55), Acetone (34)	Decommissioning units by end of 2025
Oxxynova	Luelsdorf, Germany	DMT (240)	Closed in December 2022 due to gas and electricity prices
Plastiverd	El Prat de Llobregat, Spain	PET (210)	Ceases production and operations from Nov 2025
Polisan Hellas	Volos, Greece	PET (84)	Down for commercial reasons since Q4 2024, up for sale
SABIC	Geleen, Netherlands	Ethylene (575), Propylene (325)	Shut permanently in April 2024
SABIC	Cartagena, Spain	Polycarbonates (130)	Permanently suspended one of its lines in 2023
SABIC	Wilton, United Kingdom	Ethylene (500), Propylene (415)	To be closed permanently from June 2025
Sasol	Marl, Germany	Alkylphenol (60)	Mothballing underperforming assets from Feb 2025
Sasol	Augusta, Italy	Linear Alkylbenzene (220)	Mothballing underperforming assets from Feb 2025
Shell	Wesseling, Germany	Paraxylene (160), Orthoxylene (70)	Closed in 2023
Shell	Pernis, Netherlands	MEK (90)	To permanently close in H1 2025
Solvay	Salindres, France	Trifluoroacetic acid and fluorinated derivatives	To close by October 2025
Spolana	Neratovice, Czech Republic	Capro (48), PVC (135)	To close by H1 2025
TotalEnergies	Antwerp, Belgium	Ethylene (550), Propylene (230)	To cease operation of its oldest steam cracker by end of 2027
Trinseo	Stade, Germany	Polycarbonates (80)	Closed in 2024
Trinseo	Terneuzen, Netherlands	Ethylbenzene (730), Styrene (500)	Closed in 2023
Trinseo	Rho, Italy	MMA (90)	To permanently close as part of "strategic plans" from Oct 2025
Trinseo	Schkopau, Germany	Polystyrene (175)	To permanently close and company restructuring plan to be completed by end of 2028
Tronox	Botlek, Netherlands	TiO2 (90)	Idled on the back of challenging operating conditions from March 2025
Vencorex	Pont-de-Claix, France	Caustic Soda (133), Chlorine (119)	To discontinue production in H1 2025
Versalis	Grangemouth, UK	SBR (60), Polybutadiene (80)	Closed in April 2024
Venator	Duisburg, Germany	TiO2 (50)	Officially closed for commercial reasons from May 2024
Vynova	Beek, Netherlands	PVC (225)	Ceased production from November 2025
Westlake	Pernis, Netherlands	ECH (90), Epoxy Resins (100), BPA (120)	Closed operations in late Q3 2025

Source: ICIS, Bernstein analysis

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EXHIBIT 19: **Outside of Nobian/INEOS, we don't see many significant product overlaps in European commodity / diversified Chemicals**

Legend: Red = Significant overlap; Orange = Some overlap; Yellow = Slight overlap; Grey = Very low to no overlap	ARKEMA	BASF	CLARIANT	EVONIK	INEOS	KEMIRA	LANXESS	NOBIAN	Nouryon	SOLVAY	SYENSQO	synthomer	victrex	WACKER
ARKEMA		Acrylics, Polymers dispersion	Coatings additives	Specialty monomers, PA12, H2O2	Acrylic monomers	Hydrogen peroxides (H2O2)			Hydrogen peroxides (H2O2)	Hydrogen peroxides (H2O2)	PVDF, Additives	Acrylic emulsion		
BASF	Acrylics, Polymers dispersion		Catalysts, Care Chemicals, Surfactants	See next chart	Acrylics, Olefins, EO, Styrenics		Consumer Protection, Additives		Surfactant, additives	Silicas	Surfactants, Care Chemicals			Dispersion & Silicon-adj
CLARIANT	Coatings additives	Catalysts, Care Chemicals, Surfactants		Catalysts, Care Chemicals, Surfactants			Flame retardants		Surfactant & oleochemical		Surfactants, Care Chemicals			
EVONIK	Specialty monomers, PA12, H2O2	See next chart	Catalysts, Care Chemicals, Surfactants		C4/Oxeno	Hydrogen peroxides (H2O2)	Additives		Surfactants & additives, H2O2	Silicas, H2O2	Surfactants, Care Chemicals, PEEK		PEEK	Fumed silica
INEOS	Acrylic monomers	Acrylics, Olefins, EO, Styrenics		C4/Oxeno				Chlor-alkali		Phenol				
KEMIRA	Hydrogen peroxides (H2O2)			Hydrogen peroxides (H2O2)					Pulp, paper & water chem	Hydrogen peroxides (H2O2)				
LANXESS		Consumer Protection, Additives	Flame retardants	Additives										
NOBIAN					Chlor-alkali									
Nouryon	Hydrogen peroxides (H2O2)	Surfactant, additives	Surfactant & oleochemical	Surfactants & additives, H2O2		Pulp, paper & water chem				Hydrogen peroxides (H2O2)				
SOLVAY	Hydrogen peroxides (H2O2)	Silicas		Silicas, H2O2	Phenol	Hydrogen peroxides (H2O2)			Hydrogen peroxides (H2O2)					Silicas
SYENSQO	PVDF, Additives	Surfactants, Care Chemicals	Surfactants, Care Chemicals	Surfactants, Care Chemicals, PEEK									PEEK, PAEK, PAI	
synthomer	Acrylic emulsion													Emulsion polymers
victrex				PEEK							PEEK, PAEK, PAI			
WACKER		Dispersion & Silicon-adj		Fumed silica						Silicas		Emulsion polymers		

Source: Company information, Bernstein analysis

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EXHIBIT 20: **Detailed overview of BASF and Evonik's product overlap**

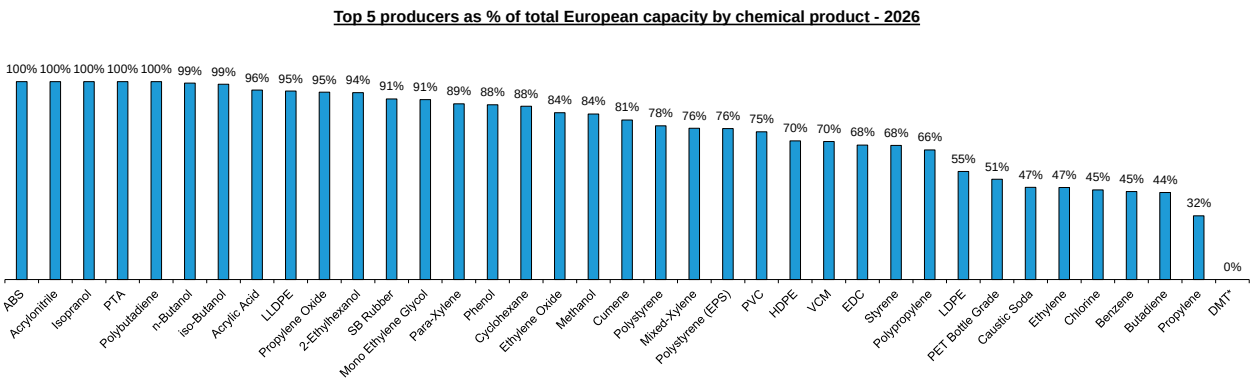
Broader chain	Product family / formulation role	Main applications	BASF offering	BASF segment (% of FY25 Group Sales) - Broad division	Estimated importance within BASF segment	Evonik offering	Evonik segment (% of FY25 Group Sales) - Broad division	Estimated importance within Evonik segment	Competitive relationship
PU formulation additives	PU amine catalysts	Flexible foams for mattresses, furniture, auto seating; rigid for building insulation and appliances	Lupragen	Intermediates (4.3%) - Chemicals	Small: a specialist application within the division's broader amines and intermediates portfolio.	DABCO / TEGOAMIN	Additives (26.2%) - Custom Solutions	Small–medium within Additives; a core offering within the narrower PU-additives business.	Direct in selected catalyst chemistries and performance specifications.
Specialty coatings formulation additives	Coating dispersants	Pigment concentrates, paints, automotive, industrial, wood coatings and printing inks	Dispex / Efka dispersant grades	Dispersions & Resins (8.0%) - Industrial Solutions	Small: part of the additives portfolio alongside much larger dispersions and resins activities.	TEGO Dispers	Additives (26.2%) - Custom Solutions	Small–medium within Additives; an important family within Coating Additives.	Direct where coating system, pigment and performance requirements match.
	Coating rheology modifiers	Architectural paints and industrial coatings controlling viscosity, flow, sagging and pigment settling	Rheovis	Dispersions & Resins (8.0%) - Industrial Solutions	Small: a specialist formulation-additives family within the division.	TEGO ViscoPlus	Additives (26.2%) - Custom Solutions	Small within Additives	Direct in selected systems
	Coating defoamers	Waterborne architectural, industrial and wood coatings; printing inks controlling foam	FoamStar / Foamaster	Dispersions & Resins (8.0%) - Industrial Solutions	Small: broader than an individual FoamStar grade, but still a subset of formulation additives.	TEGO Foamex	Additives (26.2%) - Custom Solutions	Small–medium within Additives; an important family within Coating Additives.	Direct on foam-control function in matching coating systems.
Oleochemicals / specialty esters	Cosmetic emollients	Skincare creams, sunscreens and haircare formulations providing softness and spreadability	Cetiol / Myritol	Care Chemicals (8.0%) - Nutrition & Care	Medium: important personal-care ingredient platform, within a division also serving cleaning applications.	TEGOSOFT	Care (12.9%) - Custom Solutions	Medium: an established ingredient platform within a broader care portfolio.	Direct in selected molecules and some applications
C4 Chain planned for divestiture at EVK									
C4/oxo chemicals	DINCH non-phthalate plasticisers	Flexible PVC for toys, medical devices, food packaging, flooring and wall coverings	Hexamoll DINCH	Petrochemicals (12.6%) - Chemicals	Small: a differentiated plasticiser family within a broad petrochemicals portfolio.	ELATUR CH	Oxeno (N/A) - Infrastructure (17.4%)	Small within Infrastructure	Direct: same chemical category and formulation role.
	DINP plasticisers	General-purpose flexible PVC: flooring, wire and cable insulation, films, hoses and profiles	Palatinol N	Petrochemicals (12.6%) - Chemicals	Small: an established plasticiser family, but one of many Petrochemicals products.	VESTINOL 9	Oxeno (N/A) - Infrastructure (17.4%)	Small–medium within Infrastructure	Direct: same chemical category and formulation role.

Source: Company information, Bernstein analysis and estimates

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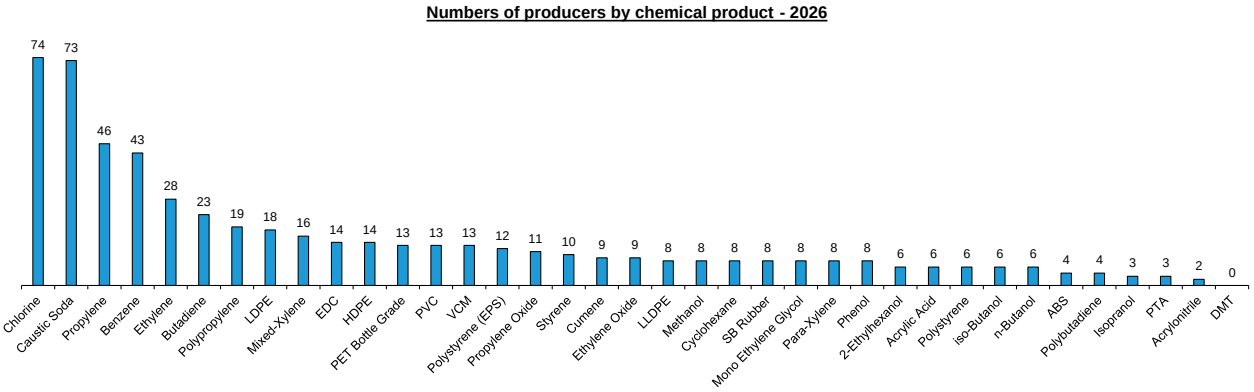
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EXHIBIT 21: **There is room for consolidation in upstream chemicals in Europe**



*There is no European DMT capacity remaining after Oxynova idled its Steyerberg plant in 2022
Source: Bloomberg, Bernstein analysis and estimates

EXHIBIT 22: **Among upstream chemicals, the Chlor-Alkali chain has potential for more consolidation**



Source: Bloomberg, Bernstein analysis and estimates

THE NEXT EUROPEAN MERGER WAVE, WITH A FOCUS ON BASF-EVONIK

So what could this new wave of consolidation look like? BASF-Evonik could be the vanguard of a new wave of transactions, with assets such as Vynova (link) and Shell Europe (link) also considering sales. However, as per Exhibit 19, there is limited obvious product overlap for the European diversified / commodity players. In terms of analysing the structural viability / synergy potential of M&A with less direct overlap, we look at two case studies of deals from the other side of the Atlantic which we think are relevant, the recently announced Olin-Huntsman merger (neither covered) and Westlake's 2016 acquisition of Axiall (Westlake not covered).

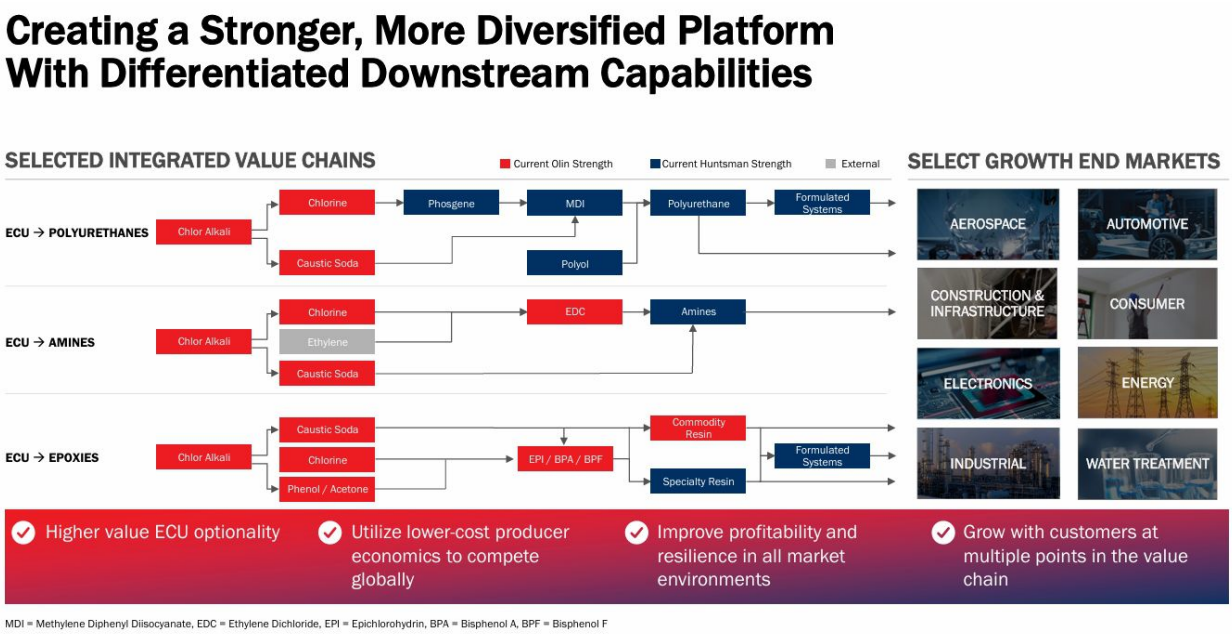
CASE STUDY 1: HUNTSMAN - OLIN (ANNOUNCED 2026)

The Huntsman–Olin merger thesis centres on vertical integration. It would link Olin's upstream chlor-alkali capabilities with Huntsman's downstream polyurethane franchise to capture value across the chain and optimise supply (Exhibit 23). The industrial logic extends to epoxies and amines, combining Olin's feedstock position with Huntsman's specialty resins, formulated systems and application expertise. With Olin already supplying key feedstocks to all three Huntsman divisions, the combination offers scope to internalise upstream margins, optimise sourcing and direct production towards higher-value downstream applications. A more integrated cost base, alongside broader product and geographic exposure, could also support through-cycle profitability and cash generation, although it would not eliminate the underlying cyclicality of the portfolio. The targeted benefits comprise more than $300m of annual cost synergies and integration benefits by year three, with a further $100m-plus of raw-material integration benefits from 2031. But given the merger was only recently announced, we have no evidence as to whether it is working or not.

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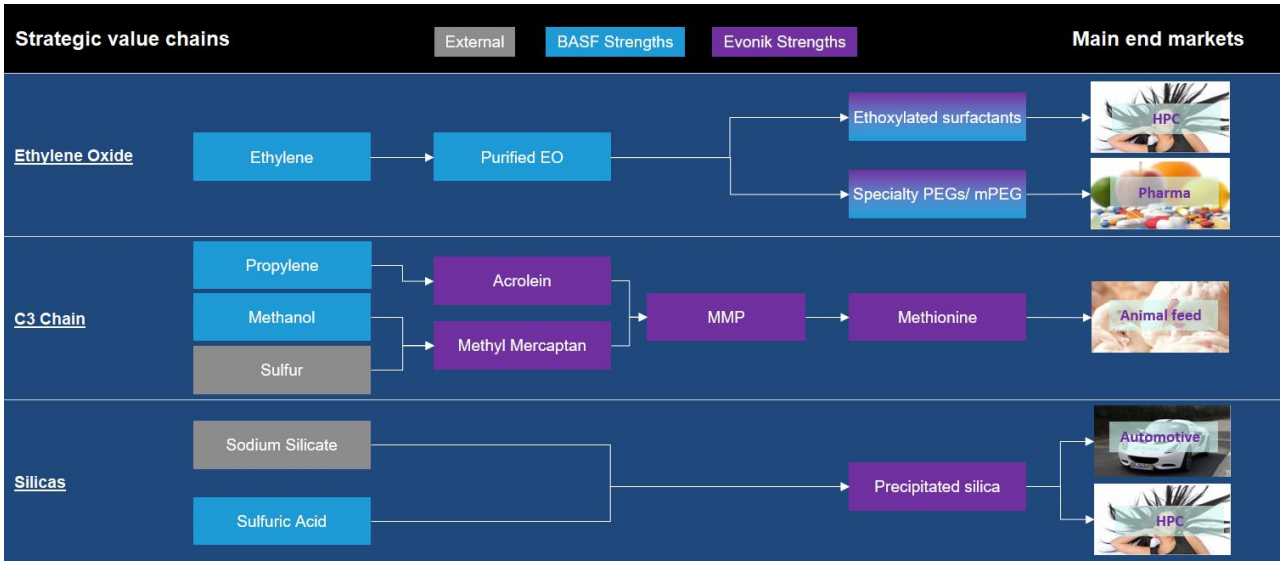
A similar logic could apply to a potential BASF–Evonik combination across selected value chains (Exhibit 24). In polyurethanes, for example, the combination could deepen BASF's existing integration from MDI/TDI and polyols into formulated systems by bringing Evonik's specialty additives in-house, creating scope to internalise sourcing and retain more value across the formulation chain. Propylene in particular we understand would be Evonik's largest single chemical on their raw material bill should they sell Oxeno. In ethylene oxide, BASF's upstream ethylene/EO platform which sits in the bottom of the cost curve (Exhibit 25) and could feed Evonik's specialty ethoxylated surfactants and pharmaceutical PEGs, extending its reach into higher-value applications.

EXHIBIT 23: **The combination of Olin and Huntsman would enable greater integration across various value chains**



Source: Olin & Huntsman presentation

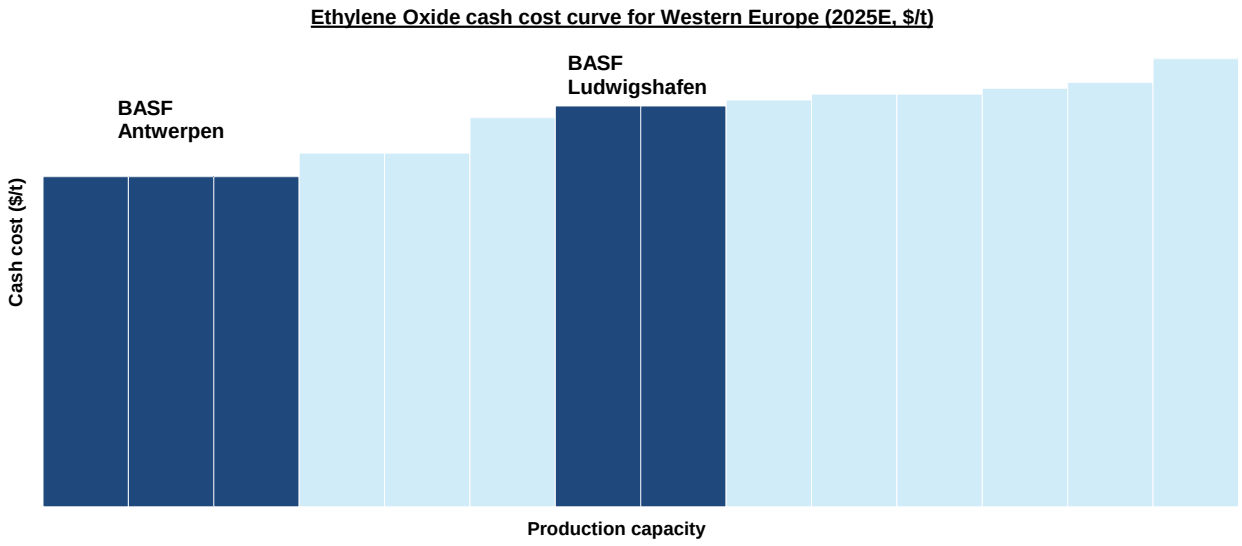
EXHIBIT 24: **A merger with BASF would similarly integrate various Evonik business lines**



Source: Company information, Bernstein analysis

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EXHIBIT 25: **BASF Ethylene Oxide cash cost sits at the bottom of the Western European cost curve**



Source: Company information, Bernstein analysis and estimates

CASE STUDY 2: WESTLAKE - AXIALL

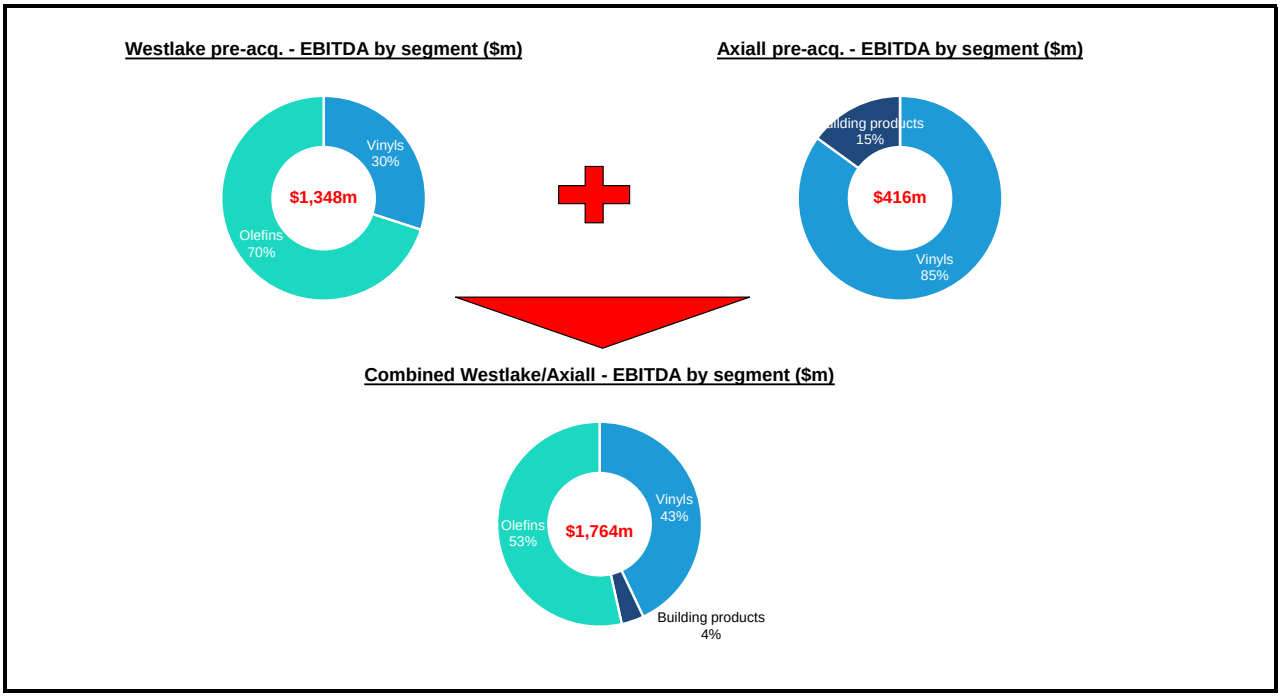
Westlake's acquisition of Axiall provides a useful precedent for how lower portfolio overlap and value-chain integration can translate into merger synergies. Vinyls accounted for 30% EBITDA at Westlake, lifting the combined group's vinyls exposure to 43%, alongside 53% in olefins and 4% in building products (Exhibit 26). The transaction also tripled Westlake's chlorine capacity from 1.1mtpa to 3.2mtpa (Exhibit 27). Beyond duplicate corporate costs, Westlake identified ethylene and natural-gas supply optimisation, procurement and freight savings, manufacturing best-practice sharing, technology transfer and improved product mix, initially targeting $100m of annual synergies (Exhibit 28)

Synergies delivery subsequently exceeded expectations. Realised cost synergies reached $170m in 2017 against an initial $100m target, rising to $275m in 2018 against an initial $200m target and an upgraded $250m target (Exhibit 29).

For BASF–Evonik, the lower degree of product overlap means the magnitude of Westlake's outperformance is not directly transferable. But BASF could be looking at areas such as manufacturing best-practice sharing as a source of synergies beyond the more obvious. We do not cover Evonik, and do not have a view on whether their assets are under/over managed. But looking at the Axiall experience, there was an opportunity to improve performance. Axiall's leverage in 2Q16 before the transaction was 4.7x Net Debt/EBITDA and an operational improvement programme was already underway, suggesting greater scope to improve the existing asset base alongside merger-specific savings.

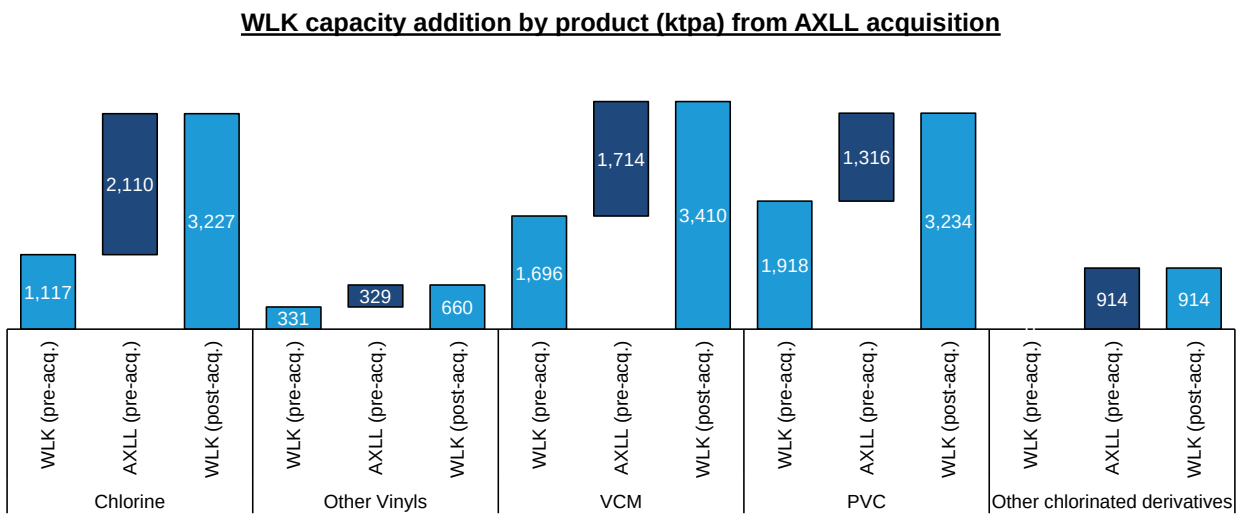
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EXHIBIT 26: **The Axiall acquisition created a more balanced entity almost equally exposed to Olefins and Vinyls**



Source: Company information, Bernstein analysis

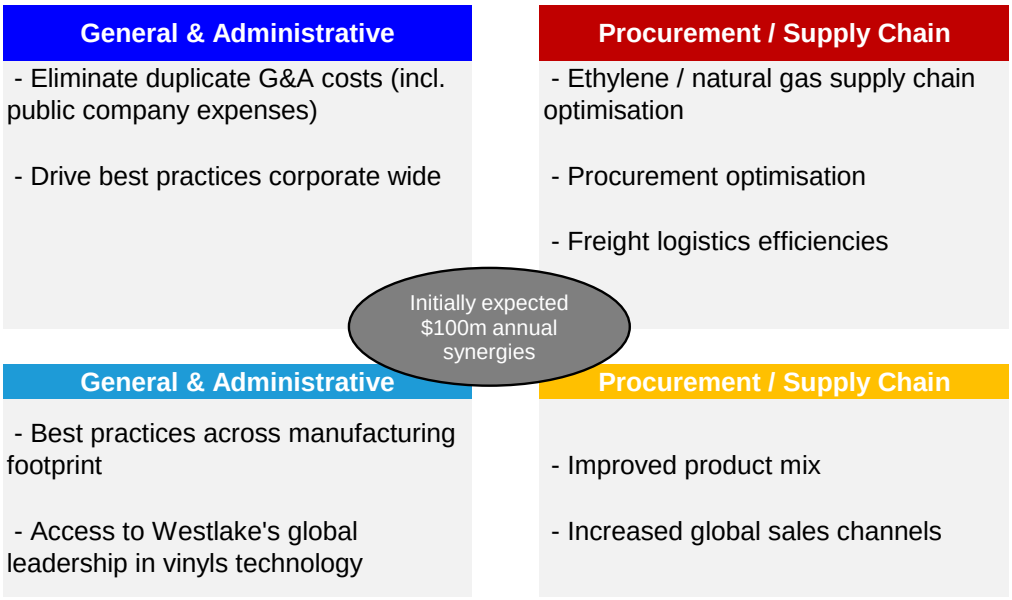
EXHIBIT 27: **The deal increased Westlake's Chlor-Alkali capacity significantly**



Source: Company information, IHS, Bernstein analysis

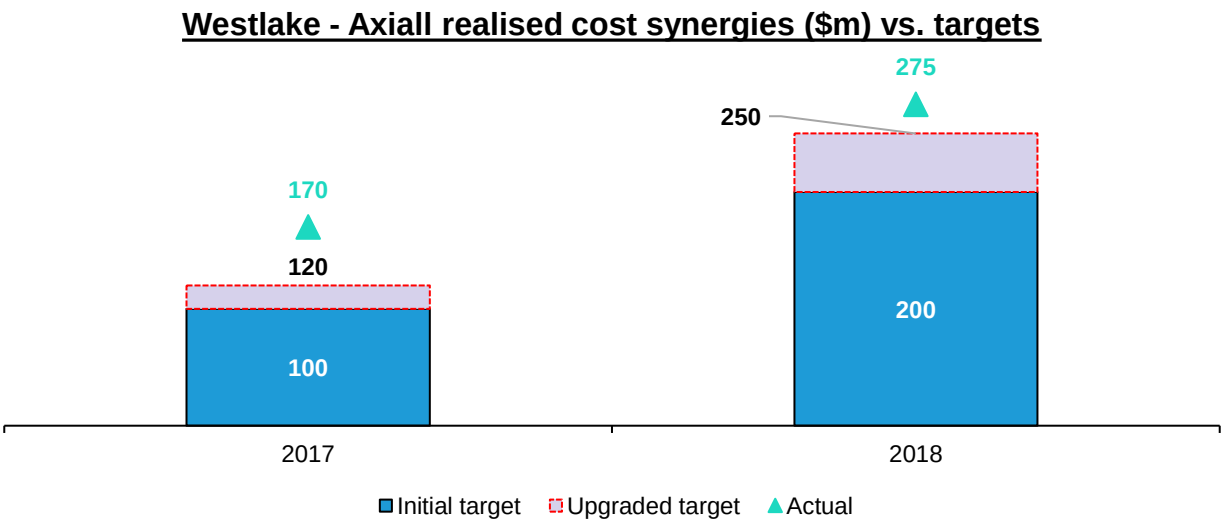
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EXHIBIT 28: **The company initially expected $100m synergies annually**



$100m target set in June 2016 when the transaction was agreed
Source: Company information, Bernstein analysis

EXHIBIT 29: **The acquisition of Axiall led to synergies above expectations**



2018 is fully-ramped synergies year
Source: Company information, Bernstein analysis

Refining our BASF-Evonik merger analysis. We introduced this merger model in the report BASF: Our Evonik merger maths works, but the equity story becomes more complicated, and refine it for BASF's subsequent announcements that they would not be making changes to site or labour agreements (link). At the time, we modelled 5% of Evonik's sales as synergies, below precedent averages (Exhibit 30) because of caution around labour agreements. But we now reduce this further based on the analysis in Exhibit 31, in five buckets:

1) Head office / business leadership. For our purposes, we model headcount reduction of 35% of the 2,587 employees working for Evonik Industries AG (~900). In practice this could be split across BASF and Evonik, given BASF's promise to manage some businesses from Essen, but we think a ~900-person reduction in headcount is a reasonable position (average €161/k per annum total cost of employment) out of a combined organisation that could have 100,000+ staff even excluding

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BASF Agricultural Solutions.

2) Propylene integration. This is Evonik's main raw material cost in the Advanced Technologies segment, and BASF pride themselves on being a propylene company. In Europe especially we see an opportunity for major savings, where BASF can barge product down the Rhine or leverage the geographic proximity in Antwerp, for example (Exhibit 32, Exhibit 33).

3&4) Overlapping raw-materials ex-naphtha / energy savings. These are relatively straightforward procurement savings, but we exclude naphtha given Evonik expect to sign a sale of Oxeno soon (and BASF have not made a specific commitment around keeping like for SYNEQT), and naphtha is heavily used as a raw material for the C4 chain.

5) Site services. BASF have stated *"that we could continue to operate the parks in Marl and Wesseling ourselves as well"*. BASF are experienced with complex site operations from their Verbunds, so we also assume some synergies here.

Where we don't assume synergies: improvement of BASF / Evonik operations or revenue synergies. As we don't cover Evonik, it is difficult for us to give a view on the degree of possible best-practice synergies between the two partners. But historically this has been a source of synergies, as per our case studies. And although we also assume no revenue synergies; there could be some given BASF's greater scale and ability to roll out newer Evonik Custom Solutions, but we would rather analyse the transaction on the basis of no revenue synergies at this time.

EXHIBIT 30: **Chemicals transaction precedents for the largest M&A deals of the last 20 years point to an average of 7.8% target sales of synergies**

in USDbn unless stated

Year	Transaction	Subsector	Deal value	Target sales	Cost synergies (% of target sales)	Cost synergies	Combined sales	Cost to implement	Synergy phasing
2026	Olin/Huntsman	Industrial Chemicals	2.4	~6.0	>5.0%	0.4	>12.0	Not disclosed	3 years
2025	AkzoNobel/Axalta	Paints & Coatings	25.0	~5.3	~11.3%	0.6	~17.0	~0.4	3 years
2022	DSM/Firmenich	Ingredients	20.7	~5.3	~9.4%	0.5	~12.5	~0.8	4 years
2019	IFF/DuPont Nutrition & Biosciences	Ingredients	26.2	~3.4	~8.8%	0.3	~11.0	~0.5	3 years
2018	IFF/Frutarom	Ingredients	6.4	~1.5	~9.7%	0.1	~6.0	~0.1	3 years
2018	UPL/Arysta LifeScience	Agricultural Chemicals	4.2	~1.8	~11.1%	0.2	~4.6	~0.3	3 years
2017	Linde/Praxair	Industrial Gases	86.0	~12.0	~8.3%	1.2	~29.0	~1.0	3 years
2016	Bayer/Monsanto	Agricultural Chemicals	63.0	~14.5	~6.9%	1.0	~25.5	~1.5	4 years
2016	Air Liquide/Airgas	Industrial Gases	13.4	~5.3	~5.7%	0.3	~20.0	~0.4	3 years
2016	Westlake Chemical/Axiall	US Upstream	3.8	~4.0	~5.0%	0.2	~7.5	~0.2	3 years
2015	Dow/DuPont	Industrial Chemicals	130.0	~25.0	12.0%-13.2%	3.3	~83.0	3.5-4.1	2 years
2015	Albemarle/Rockwood	Industrial Chemicals	6.2	~1.1	~9.1%	0.1	~4.1	~0.2	2 years
2015	Solvay/Cytec Industries	Industrial Chemicals	5.5	~2.0	~5.0%	0.1	~14.5	~0.2	3 years
2014	Merck KGaA/Sigma-Aldrich	Pharmaceuticals	17.0	~2.8	~9.3%	0.3	~4.7	~0.5	4 years
2010	BASF/Cognis	Industrial Chemicals	4.8	~4.0	~7.5%	0.3	~74.0	~0.5	3 years
2010	CF Industries/Terra Industries	Agricultural Chemicals	4.7	~2.4	~4.2%	0.1	~5.5	~0.1	2 years
2006	BASF/Engelhard	Industrial Chemicals	5.0	~4.6	~4.3%	0.2	~49.0	Not disclosed	2 years
Average			**25.0**	**7.1**	**7.8%**	**0.5**	**22.3**		

Source: Bloomberg, SEC, Company information, Bernstein analysis and estimates

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EXHIBIT 31: **Without site consolidation and broader employee headcount measures, we cut our synergy estimate for Evonik from €750m to €617m**

BASF-Evonik Synergy breakdown (€m unless stated)			
Synergy	**Amount**	**% EVK rev.**	**Calculation**
Head Office	147	1.0%	35% headcount reduction of 2,587 staff working for parent Evonik Industries AG. Assumes 50% premium to group staff cost (€161k/ per annum)
Propylene Integration	113	0.8%	15% saving on EVK's estimated €751m cost (16% raw material basket)
Overlapping raw materials (ex-naphtha)	183	1.3%	5% saving on key overlapping raw material purchases: methanol (5% combined bill of c. €28bn), ammonia (4%), butadiene (2%) and acetone (2%)
Energy procurement	120	0.8%	2% saving on combined energy purchasing (est c. €6bn, 50%+ Europe)
Site Services	54	0.4%	BASF would like to keep this business (SYNEQT) and have experience running complex Verbunds. 3% target sales of ~€1.8bn
Total ex-naphtha	**617**	**4.2%**	
Naphtha	270	1.9%	If EVK C4 is kept (Oxeno), we estimate 19% of combined raw material purchasing would be naphtha. 5% saving
Total inc. naphtha	**887**	**6.1%**	

Raw material pricing on a 2025 basis
Source: Company information, Bernstein estimates and analysis

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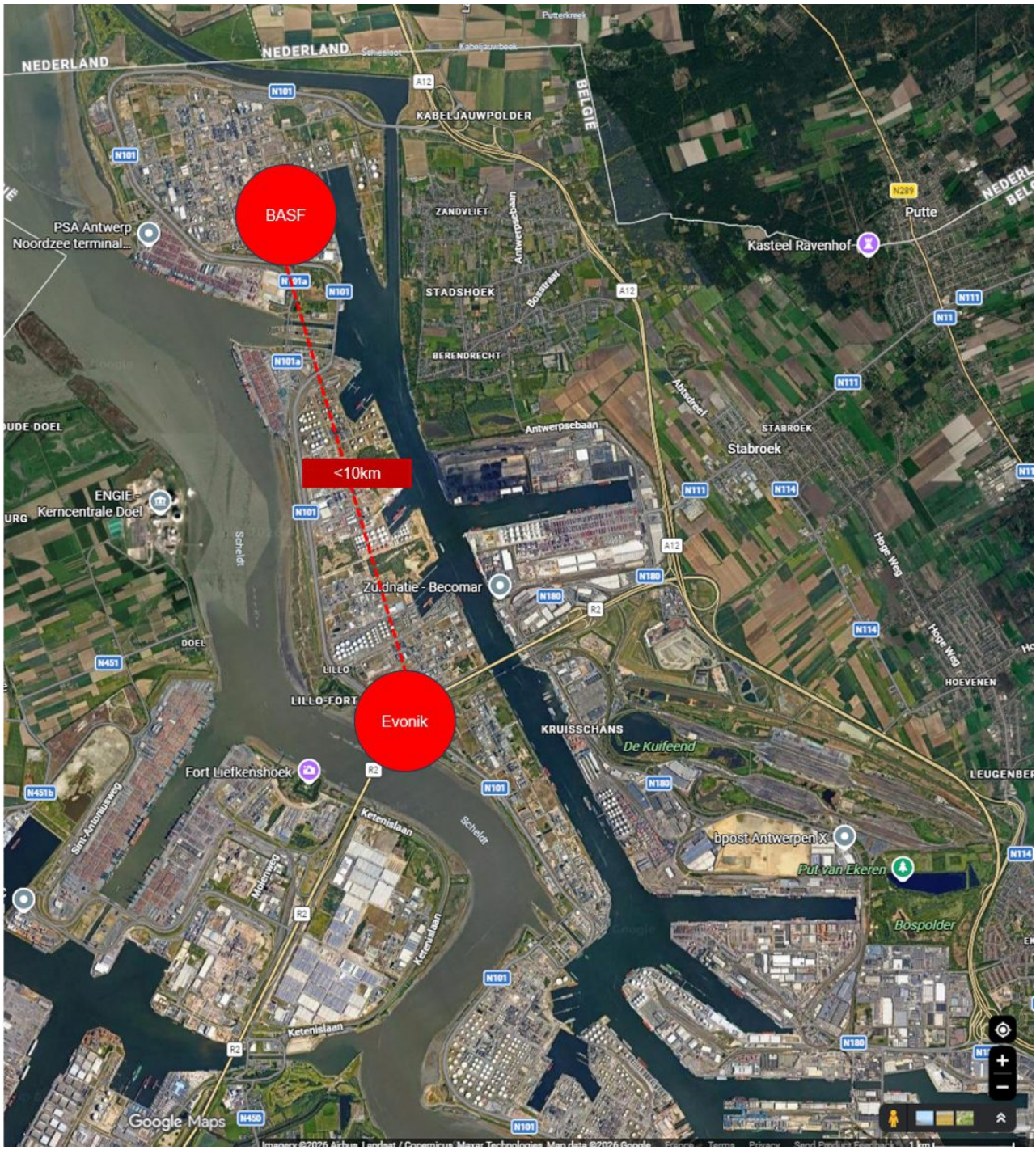
EXHIBIT 32: **BASF Ludwigshafen is naturally well connected to major Evonik sites via the Rhine river**



Source: Company information, Bernstein analysis

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EXHIBIT 33: **At Port of Antwerp, the BASF Verbund and Evonik sites are about 10km away**



Source: Google Maps, Bernstein analysis

Refining our BASF-Evonik merger model assumptions. Our detailed base case merger model output is Exhibit 34. Our merger model is available on request.

- **Estimate sources:** Our forecasts are used for BASF ex-Ag, updated for our Q3 estimate cuts. We use Bloomberg consensus for Evonik. We eliminate 1% of revenue through intercompany sales.

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- **We assume a 50% premium to Evonik's undisturbed share price (€18.07, 24 Sep 2027), implying an Offer Price of €27.11.** This implies a multiple of 7.6x 2026 consensus EBITDA and 8.1x 2027 consensus EBITDA. We assume BASF pays transaction fees of 1% EV.
- **Completion date of** 31 December 2027, such that 2028 is Year 1, 2029 is Year 2 and 2030 is Year 3.
- **Cost synergies:** €617m as per Exhibit 31, with 3 years to fully ramp. This is down from €750m cost synergies in our previous model.
- **Revenues synergies:** We assume none during our 2030 time horizon. We believe there could be some in areas such as Evonik's consumer facing portfolio, but the quantum is not likely to be particularly meaningful in this decade in our view.
- We assume **BASF pays RAG Stiftung (43.8% holder of Evonik) in shares and the other holders get a cash offer**. BASF issues new shares to RAG at no discount. The interest rate on new debt is 7%.
- The RAG-Stiftung finances what are termed perpetual obligations – obligations that have remained since the end of German hard coal mining. They relate mainly to pit water management, polder measures and groundwater purification in the former hard coal mining regions along the Ruhr and Saar rivers as well as in Ibbenbüren. **We therefore believe they need the dividend to serve their ongoing obligations, which implies a dividend per share of €1.59 for the merged entity.**
- We assume the BASF Ag Solutions business is successfully separated with a proportional share of the BASF's group net debt.

Even after incorporating the lower synergy assumptions, we still believe the numbers work for BASF at a high premium to the undisturbed €18.07 share price. The deal remains EPS accretive, with accretion reaching 20.7% by 2030E once synergies are fully ramped, compared with 33.5% in our previous note (link). We also continue to see accretion to returns, with fully-ramped ROIC reaching 6.6% (vs. 6.8% previously) and ROCE improving to 6.9% (vs. 6.7% previously). As a result, our view remains unchanged: that the economics still work at a 50% premium (€27.11 per share).

Our best guess of what will happen: BASF will acquire Evonik for ~€27 share. We believe BASF could pay up to €29.27/share for Evonik and have none of the following three conditions break: 1) unadjusted Year 2 EPS accretion greater than 0, 2) ROIC accretive to BASF group and 3) ROCE accretive to BASF group. This implies a 62% premium to the undisturbed share price, and is down from the €30.54/share or 69% premium from our previous modelling. We therefore continue to believe a ~50% premium will be compelling for Evonik shareholders (~€27/share). When we joined the recent Evonik CFO sell-side meeting in London (notes available on request), we got the sense that Evonik management had barely been included in the process to date, and their input could provide BASF with the impetus to raise their offer - hence the wording of their announcement on October 30th:

"The Executive Board of Evonik Industries AG has carefully reviewed the letter from BASF SE dated October 22, 2026, expressing its interest in making a voluntary public takeover offer. Based on the information available, the Executive Board has decided not to enter into negotiations with BASF SE. The Executive Board remains focused on its strategic direction and further development of Evonik as an independent company.

At the same time, the Executive Board has expressed its willingness to engage in a purely informational and confidential exchange with BASF SE in order to explain Evonik Industries AG's position and to give BASF SE the opportunity to outline its rationale and the key considerations underlying its interest."

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EXHIBIT 34: **BASF/EVK: Updated Merger model (Offer at 50% premium)**

	TARGET							ACQUIRER							PROFORMA						
	Evonik (EURmn)							BASF ex-Ag (EURmn)							Proforma (EURmn)						
			Currency	Price EUR	Mkt Cap	EV	Y/E			Currency	Price	Mkt Cap	EV	Y/E			Currency	Price	Mkt Cap	EV	Y/E
			EUR	18.07	8421	12360	31-Dec			EUR	52.3	46679	64873	31-Dec			EUR	59.8	55,100	77,233	31-Dec
(EURmn)	2024	2025	2026E	2027E	2028E	2029E	2030E	2024	2025	2026E	2027E	2028E	2029E	2030E	2024	2025	2026E	2027E	2028E	2029E	2030E
Revenue Synergies																			0	0	0
Elimination of Intercompany sales															-534	-482	-540	-551	-566	-582	-598
Sales	**15,157**	**14,069**	**14,850**	**14,728**	**15,099**	**15,415**	**15,710**	**55,462**	**50,070**	**56,137**	**57,212**	**58,851**	**60,497**	**62,183**	**70,085**	**63,657**	**70,446**	**71,389**	**73,383**	**75,331**	**77,295**
YoY Revenue Growth %	*-0.7%*	*-7.2%*	*5.5%*	*-0.8%*	*2.5%*	*2.1%*	*1.9%*		*-9.7%*	*12.1%*	*1.9%*	*2.9%*	*2.8%*	*2.8%*		*-9.2%*	*10.7%*	*1.3%*	*2.8%*	*2.7%*	*2.6%*
Cost Synergies																			247	432	617
Margin on Rev Synergies																			0	0	0
Adj. EBITDA	**2,065**	**1,874**	**2,179**	**2,044**	**2,110**	**2,217**	**2,277**	**5,919**	**4,473**	**5,785**	**5,437**	**5,900**	**6,386**	**6,884**	**7,984**	**6,347**	**7,963**	**7,481**	**8,256**	**9,035**	**9,777**
Accretion/(Dilution) %															**34.9%**	**41.9%**	**37.7%**	**37.6%**	**39.9%**	**41.5%**	**42.0%**
EBITDA Margin %	*13.6%*	*13.3%*	*14.7%*	*13.9%*	*14.0%*	*14.4%*	*14.5%*	*10.7%*	*8.9%*	*10.3%*	*9.5%*	*10.0%*	*10.6%*	*11.1%*	*11.4%*	*10.0%*	*11.3%*	*10.5%*	*11.3%*	*12.0%*	*12.6%*
Adj. Operating Profit (EBIT)	**1,027**	**861**	**1,171**	**1,030**	**1,098**	**1,216**	**1,222**	**2,642**	**1,388**	**1,121**	**959**	**2,452**	**3,013**	**3,559**	**3,669**	**2,249**	**2,292**	**1,990**	**3,797**	**4,661**	**5,398**
Operating Margin %	*6.8%*	*6.1%*	*7.9%*	*7.0%*	*7.3%*	*7.9%*	*7.8%*	*4.8%*	*2.8%*	*2.0%*	*1.7%*	*4.2%*	*5.0%*	*5.7%*	*5.2%*	*3.5%*	*3.3%*	*2.8%*	*5.2%*	*6.2%*	*7.0%*
Financial Expenses	-141	-136	-160	-157	-154	-162	-170	27	555	-209	-125	-268	-260	-253	-114	419	-369	-282	-422	-422	-423
Cost of Synergies																			-308	-185	-185
Deal Financing Cost																			-502	-502	-502
Amortisation of Acq. Intangibles																			-297	-297	-297
Profit Before Tax	886	725	1,010	873	944	1,054	1,052	2,669	1,943	913	834	2,184	2,753	3,307	3,555	2,668	1,923	1,707	2,267	3,255	3,991
Income Tax	-233	-184	-384	-265	-298	-326	-325	-633	-486	-228	-209	-546	-688	-827	-889	-667	-481	-427	-567	-814	-998
Underlying Income Tax Rate %	*-26.3%*	*-25.4%*	*-38.0%*	*-30.4%*	*-31.6%*	*-30.9%*	*-30.9%*	*-23.7%*	*-25.0%*	*-25.0%*	*-25.0%*	*-25.0%*	*-25.0%*	*-25.0%*	*25.0%*	*25.0%*	*25.0%*	*25.0%*	*25.0%*	*25.0%*	*25.0%*
Minorities & Other	-18	-12	-12	-13	-13	-14	-14	-183	-116	-52	-120	-124	-127	-131	-201	-128	-64	-133	-137	-141	-145
Net Income	635	529	614	595	632	714	713	1,853	1,341	632	506	1,514	1,937	2,349	2,465	1,873	1,378	1,148	1,564	2,300	2,849
Net income margin %	*4.2%*	*3.8%*	*4.1%*	*4.0%*	*4.2%*	*4.6%*	*4.5%*	*3.3%*	*2.7%*	*1.1%*	*0.9%*	*2.6%*	*3.2%*	*3.8%*	*3.5%*	*2.9%*	*2.0%*	*1.6%*	*2.1%*	*3.1%*	*3.7%*
Net Income (underlying)	635	529	614	595	632	714	713	1,853	1,341	632	506	1,514	1,937	2,349	2,465	1,873	1,378	1,148	2,018	2,662	3,210
Net income margin %	*4.2%*	*3.8%*	*4.1%*	*4.0%*	*4.2%*	*4.6%*	*4.5%*	*3.3%*	*2.7%*	*1.1%*	*0.9%*	*2.6%*	*3.2%*	*3.8%*	*3.5%*	*2.9%*	*2.0%*	*1.6%*	*2.7%*	*3.5%*	*4.2%*
Dil. Shares Outstanding	**466**	**466**	**466**	**465**	**464**	**460**	**460**	**895**	**894**	**865**	**839**	**814**	**814**	**814**	**895**	**894**	**865**	**839**	**922**	**922**	**922**
(Dil) EPS	**1.36**	**1.14**	**1.32**	**1.28**	**1.36**	**1.55**	**1.55**	**2.07**	**1.50**	**0.73**	**0.60**	**1.86**	**2.38**	**2.88**	**2.75**	**2.09**	**1.59**	**1.37**	**1.70**	**2.49**	**3.09**
EPS Growth %	*72.5%*	*-16.7%*	*16.0%*	*-2.9%*	*6.5%*	*14.0%*	*-0.2%*	*#DIV/0!*	*-27.6%*	*-51.2%*	*-17.6%*	*208.4%*	*27.9%*	*21.3%*		*-24.0%*	*-23.9%*	*-14.1%*	*24.0%*	*47.1%*	*23.9%*
Accretion/(Dilution) %															**33.0%**	**39.6%**	**117.8%**	**126.9%**	**-8.8%**	**4.9%**	**7.1%**
EPS (underlying)	**1.36**	**1.14**	**1.32**	**1.28**	**1.36**	**1.55**	**1.55**	**2.07**	**1.50**	**0.73**	**0.60**	**1.86**	**2.38**	**2.88**	**2.75**	**2.09**	**1.59**	**1.37**	**2.19**	**2.89**	**3.48**
EPS Growth %		*-16.7%*	*16.0%*	*-2.9%*	*6.5%*	*14.0%*	*-0.2%*		*-27.6%*	*-51.2%*	*-17.6%*	*208.4%*	*27.9%*	*21.3%*		*-24.0%*	*-23.9%*	*-14.1%*	*60.0%*	*31.9%*	*20.6%*
Accretion/(Dilution) %																			**17.7%**	**21.4%**	**20.7%**
DPS	1.17	1.00	0.83	0.77	0.83	0.89	0.88	1.57	1.57	1.57	1.57	1.57	1.57	1.57					1.57	1.57	1.57
Payout Ratio	86%	88%	63%	61%	61%	57%	57%	76%	105%	215%	261%	85%	66%	55%					72%	55%	45%
ROCE															**4.6%**	**3.0%**	**3.0%**	**2.6%**	**5.1%**	**6.1%**	**6.9%**
Transaction ROIC (inc. Intangibles)															**4.5%**	**3.9%**	**5.3%**	**4.7%**	**6.1%**	**7.5%**	**8.4%**
OCF	1,713	1,443	1,525	1,508	1,541	1,605	1,631	5,232	3,829	3,677	4,629	5,017	4,723	5,464	6,945	5,272	5,202	6,137	6,355	6,511	7,509
Capex	-840	-748	-762	-751	-760	-753	-770	-5,688	-3,916	-2,582	-3,029	-3,118	-3,209	-3,301	-6,479	-4,629	-3,318	-3,751	-3,849	-3,931	-4,040
FCF	873	695	819	784	807	876	987	-456	-87	1,096	1,600	1,899	1,514	2,162	466	643	1,884	2,386	2,507	2,579	3,469
FCF Yield (levered)	**10.4%**	**8.3%**	**9.7%**	**9.3%**	**9.6%**	**10.4%**	**11.7%**	**-1.0%**	**-0.2%**	**2.3%**	**3.4%**	**4.1%**	**3.2%**	**4.6%**	**0.8%**	**1.2%**	**3.4%**	**4.3%**	**4.5%**	**4.7%**	**6.3%**
Dividends Saved																			0	0	0
NOSH Issued (Consideration)												108	108	108					108	108	108
Incremental Dividends																			-169	-169	-169
Net Debt / (Cash)	3,253	3,311	2,976	2,960	2,844	2,680	1,693	18,780	18,330	13,854	7,702	7,302	6,122	4,032	29,199	28,807	23,995	17,828	17,481	16,137	13,059
Net Debt/EBITDA	1.6x	1.8x	1.4x	1.4x	1.3x	1.2x	0.7x	3.2x	4.1x	2.4x	1.4x	1.2x	1.0x	0.6x	3.7x	4.5x	3.0x	2.4x	2.1x	1.8x	1.3x
EV/EBITDA	6.0x	6.6x	5.7x	6.0x	5.9x	5.6x	5.4x	11.0x	14.5x	11.2x	11.9x	11.0x	10.2x	9.4x	9.7x	12.2x	9.7x	10.3x	9.4x	8.5x	7.9x
P/E	13.3x	15.9x	13.7x	14.2x	13.3x	11.8x	11.8x	25.3x	34.9x	71.5x	86.7x	28.1x	22.0x	18.1x	22.3x	29.4x	40.0x	48.0x	27.3x	20.7x	17.2x

Source: Bloomberg, Company information, Bernstein analysis and estimates

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EXHIBIT 35: **We see this deal as returns accretive at 50% premium (1/2)**

ROIC calculation							
Proforma (EURmn)	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**
Sales	70,085	63,657	70,446	71,389	73,383	75,331	77,295
growth(%)		*-9.2%*	*10.7%*	*1.3%*	*2.8%*	*2.7%*	*2.6%*
Operating profit	3,669	2,249	2,292	1,990	3,797	4,661	5,398
margin	5.2%	3.5%	3.3%	2.8%	5.2%	6.2%	7.0%
tax rate	*25.0%*	*25.0%*	*25.0%*	*25.0%*	*25.0%*	*25.0%*	*25.0%*
NOPAT							
Proforma	2,752	1,687	1,719	1,492	2,847	3,495	4,048
BASF NOPAT	2,016	1,041	841	720	1,839	2,260	2,669
Deal NOPAT	736	646	878	773	1,008	1,236	1,379
Invested Capital							
Deal EV	16,484	16,484	16,484	16,484	16,484	16,484	16,484
BASF IC (incl. intangibles)	54,264	47,078	47,881	46,071	44,853	44,719	44,615
New IC	70,748	63,562	64,365	62,554	61,337	61,202	61,099
Deal ROIC (%)	**4.5%**	**3.9%**	**5.3%**	**4.7%**	**6.1%**	**7.5%**	**8.4%**
BASF ROIC (inc intangibles) (%)	3.7%	2.2%	1.8%	1.6%	4.1%	5.1%	6.0%
New BASF ROIC (%)	**3.9%**	**2.7%**	**2.7%**	**2.4%**	**4.6%**	**5.7%**	**6.6%**

Source: Bloomberg, Company information, Bernstein analysis and estimates

EXHIBIT 36: **We see this deal as returns accretive at 50% premium (2/2)**

ROCE calculation							
Proforma (EURmn)	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**
Sales	70,085	63,657	70,446	71,389	73,383	75,331	77,295
growth(%)		*-9.2%*	*10.7%*	*1.3%*	*2.8%*	*2.7%*	*2.6%*
New Operating profit	3,669	2,249	2,292	1,990	3,797	4,661	5,398
margin	5.2%	3.5%	3.3%	2.8%	5.2%	6.2%	7.0%
tax rate	*25.0%*	*25.0%*	*25.0%*	*25.0%*	*25.0%*	*25.0%*	*25.0%*
Capital Employed							
BASF CE	63,376	59,763	60,856	60,776	60,030	61,147	63,208
EVK CE	15,691	14,653	14,492	14,665	14,898	14,969	15,009
Previous BASF ROCE (%)	**4.2%**	**2.3%**	**1.8%**	**1.6%**	**4.1%**	**4.9%**	**5.6%**
New ROCE (%)	**4.6%**	**3.0%**	**3.0%**	**2.6%**	**5.1%**	**6.1%**	**6.9%**

Source: Bloomberg, Company information, Bernstein analysis and estimates

EXHIBIT 37: **On Evonik Bloomberg consensus numbers and 50% premium, this deal could conclude at 8.1x FY27 EV/EBITDA**

Deal multiple	
Equity offer at 50% premium	12,631
Evonik net debt	2,976
Evonik tax-adjusted pension	877
EV	**16,484**
EVK 26 EBITDA	2,179
Deal multiple FY26 EV/EBITDA (50% premium)	**7.6x**

Implied multiples at offer	FY26	FY27	FY28	FY29	FY30
EV/Sales	1.1x	1.1x	1.1x	1.1x	1.0x
EV/EBITDA	7.6x	8.1x	7.8x	7.4x	7.2x
EV/EBIT	14.1x	16.0x	15.0x	13.6x	13.5x
P/E	20.6x	21.2x	20.0x	17.7x	17.7x

Source: Bloomberg, Company information, Bernstein analysis and estimates

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EXHIBIT 38: **Nevertheless, an offer at a ~50% premium would be slightly below recent European diversified chemicals transaction precedents**

Chemicals Transaction Precedents						
Deal	Announced	Type	CCY	EV / Sales	EV / EBITDA	Primary premium
Carlyle / GIC – AkzoNobel Specialty Chemicals	26-Mar-18	Carve-out / sponsor buyout	EUR	2.0x	10.0x	-
BASF – Solvay Polyamides	18-Sep-17	Carve-out / strategic	EUR	1.2x	7.0x	-
BASF – Ciba	15-Sep-08	Public company takeover	CHF	0.9x	8.6x	32.0%
CVC – DSM Polymer Intermediates & Composite Resins	16-Mar-15	Carve-out / JV sponsor investment	EUR	0.3x	5.7x	-
Evonik – Porocel	25-Aug-20	Private company acquisition	USD	2.1x	9.1x	-
Evonik – PeroxyChem	07-Nov-18	Private company acquisition	USD	2.1x	10.0x	-
Advent – Evonik Methacrylates (Röhm)	04-Mar-19	Carve-out / sponsor buyout	EUR	1.6x	8.6x	-
XRG / ADNOC – Covestro	01-Oct-24	Public company takeover	EUR	1.0x	13.7x	54.0%
Average				1.4x	9.1x	11%
Median				1.4x	8.9x	0%

Source: Company information, Bernstein analysis

Who else in our coverage could participate in M&A beyond BASF? We consider Exhibit 19 a useful reference of where there is product overlap, but **BASF's pursuit of Evonik could mean anyone is a target.** We include some deeper observations about our covered companies below. In general, we would prefer to own the possible targets over possible acquirers, apart from one very specific case.

- **Syensqo - the strategic review for a Performance & Care / Novecare divestment is ongoing, which we see as a possible catalyst. Subsequently, Syensqo arguably becomes both a better acquirer and target.** Should the strategic review of P&C / Novecare complete, we see Syensqo as a possible acquirer with their firepower - we provide an idea in the last section of this report. However, this could also be the moment for a larger Specialty Chemicals / Materials company to make an opportunistic approach for an improved Syensqo portfolio. For more see report Syensqo: Unlocking a SotP valuation - Raising our PT to €78

- **Arkema - less likely to participate in major consolidation in our view. But if so, more likely to be a target:** Major M&A is not a part of Arkema's strategy, and a potential acquirer is not immediately obvious to us. But then again, we were not expecting BASF to make a takeover approach for Evonik, so we keep an open mind. Arkema's 2.8x LTM Net Debt / EBITDA as of 3Q26 probably makes them a less likely acquirer, but there is some chemistry owned by Arkema that could attract a higher valuation standalone / in another portfolio, and so it may present an attractive target. But without the support of long-time shareholders Fonds Stratégique de Participations (managed by ISALT), BPI France, and CEO Thierry Le Henaff, who together own over 15% of Arkema shares, any takeover attempt is likely dead on arrival, and we do not believe any of the three parties are currently willing sellers.

- **Borouge - the plc is highly unlikely to do M&A, but Borouge Group International may see some opportunities in Europe further down the line.** As per Exhibit 21 - Exhibit 22, there is arguably room to consolidate some of the key polyolefin chains, or other adjacent chemistry in Europe. It is possible that Borouge Group International seeks to act as one of these consolidators after their planned 2027 tender offer goes ahead. But we believe that the primary focus of Borouge Group International will be synergy deliver and the tender offer, so we do not expect M&A imminently from either the plc or Borouge Group International.

- **Clariant - more likely to be an acquirer:** The litigation risk makes an acquisition of Clariant a risky proposition, and we consider 31.5% shareholder Sabic as unlikely to acquire the whole at this time. But we believe management left themselves open to undertaking a major acquisition from their statements at their 3Q26 reporting, with the press links to Ashland. And for us this gives us another reason to be cautious around the shares.

- **Solvay - after rare earths, we do not expect much participation in consolidation** Solvay are currently pursuing a form of rare earth consolidation. But Solvay's current leverage, and the fundamental weakness of soda ash in Europe means we do not expect consolidation to be a major part of the Solvay equity story going forward, perhaps except a sale of Coatis.

Ultimately, the success of any European consolidation will probably be really about the underlying chemical market conditions in Europe, in our view. We last wrote a similar thought almost a year ago when we downgraded Akzo Nobel to Market-Perform (24 Nov 2025 - Paints & Coatings: Failing to climb the wall of worry - downgrading Akzo Nobel to Market-Perform). We are long-term believers in the synergy potential of the Akzo-Axalta merger, but in our view the subsequent roughly

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in-line share price performance with European indices (SXXP +13%, AKZA +9%) is function of Akzo's ability to manage a tough environment. As we wrote in the aforementioned report: ***"We believe good mergers can be derailed by tough macro conditions, whilst bad deals can succeed with sufficient market tailwinds."*** Another way to look at the success of the Westlake-Axiall merger is through the lens of the US caustic soda price (Exhibit 39). Yes, Westlake upgraded synergy targets, but they also bought exposure to caustic soda at the bottom and the subsequent +94% price rally over two years was undoubtedly supportive.

Are BASF seeking to acquire Evonik to add more exposure to Europe at the bottom? BASF are sophisticated operators. They will know the McKinsey study about large M&A deals and subsequent value creation (Exhibit 40 - Exhibit 41). They will be sure the financials work before giving site / personnel guarantees to Evonik. We are sure they will also have heard some of the same negative feedback around the transaction (see report Chemicals: Feedback from two weeks in North America), but press reports indicate they continue the pursuit regardless (link). We come back to our framing of the BASF-Evonik merger in Exhibit 43, first seen in BASF: Our Evonik merger maths works, but the equity story becomes more complicated. Even if synergy delivery far exceeds our expectations, investors could choose to punish a combined BASF-Evonik business if it becomes increasingly clear that European upstream / diversified chemicals is facing a lost decade. But if the European powers-that-be are able to address at least some of the factors holding Europe back, then likely any synergy story is the icing on the cake versus a structural recovery.

We remain unenthusiastic on the prospect of material chemicals industry support from Europe. Hope has sprung anew, with reports of quotas and Europe's deal with China on hybrid EVs identified as potentially supportive measures for European chemicals. But we take a more cautious stance. Earlier in this series, we identified the inaction around carbon taxes (see The Future of European Chemicals: The carbon tax conundrum - updated for last week's ETS changes). The Critical Chemicals Alliance, for example, has identified only 49 molecules for enhanced support, when 1,000s are relevant. And votes on industry support measures seem to be mixed - here we quote BASF CEO Markus Kamieth:

Analyst: *"On the Critical Chemicals Alliance's recommendations a couple of weeks ago: I noticed that BASF was one of the companies that opposed the proposal to make safeguard measures easier to adopt. I think this was Article 8, I believe. Could you explain why you opposed this proposal, and what an ideal solution to the increased competition Europe is facing would be, in your opinion?"*

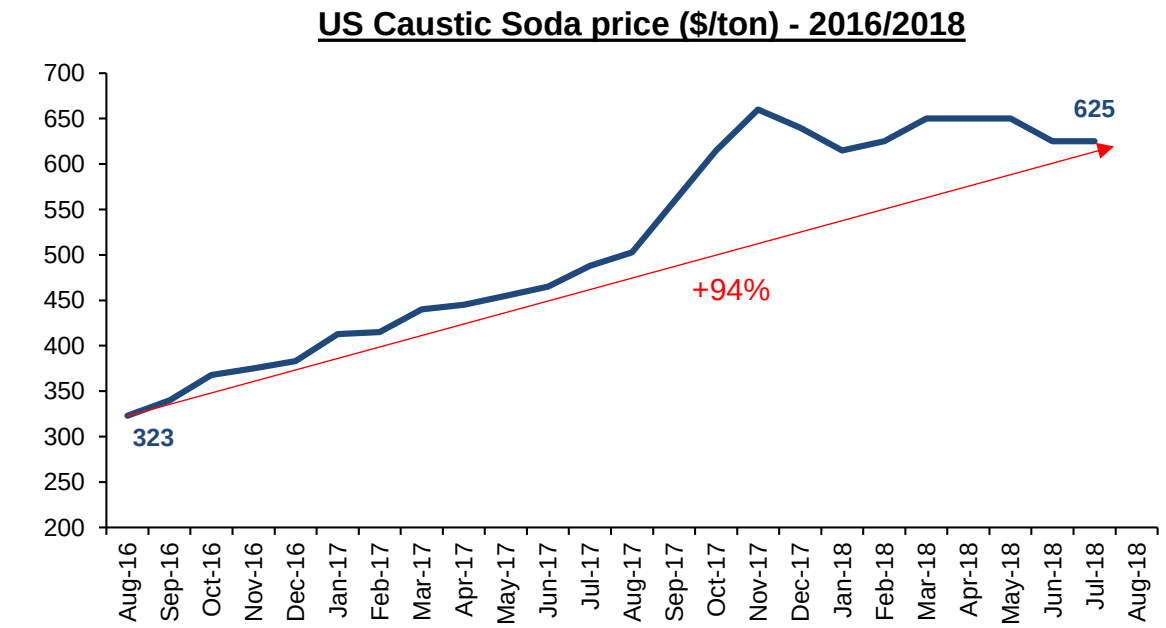
Markus Kamieth: *"This is a more complex question, so I will try to keep this a rather high-level answer. First of all, I m of the opinion that the European Union's current toolbox of trade defence instruments is not as bad as it is utilised right now. So we are, first of all, always asking that we use the tools that the European Union has available to the best possible extent. This includes a more effective and efficient use of anti-dumping measures, for example. And, as an industry and also as BASF, we have taken a look at safeguard measures. We believe that the safeguard instrument as it is defined right now would be sufficient to work against some of the effects. So I would say we are taking a somewhat balanced approach towards trade defence instruments. We are, first of all, calling for the existing tools to be used as effectively and as sharply as possible before creating new ones or adapting or going into intense political deliberations about creating additional instruments. That s probably where this position comes from."*

And we see that the fundamental challenge around quotas / enhanced support measures is that these are blanket measures, and European Chemicals companies are mostly extremely global with material exposure to the US and China (Exhibit 44). This forces the companies to walk a delicate political path between wanting support for their European operations without affecting their existing foreign ones. We note here that the EV hybrid quotas were set with the blessing of China, something that the Chemical industry may struggle to achieve in the same way. And so, we expect a gradual improvement of the European chemicals market structure, rather than any rapid change.

With this in mind, we remain lukewarm on BASF-Evonik. We again come back to Exhibit 43. We don't see the merger as value-destructive. But given our view of the overall industry environment, we would expect a combined BASF-Evonik valuation multiples to derate slightly versus BASF standalone, with synergies offsetting the de-rating.

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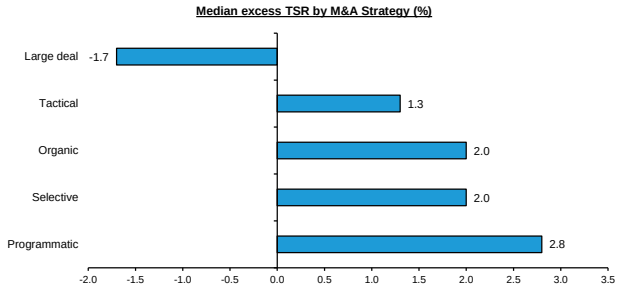
EXHIBIT 39: **US Caustic Soda price more than doubled years after the acquisition**



No datapoint for August 2018
Source: Bloomberg, Bernstein analysis

EXHIBIT 40: **Large deals don't always create value for shareholders (1/2)**

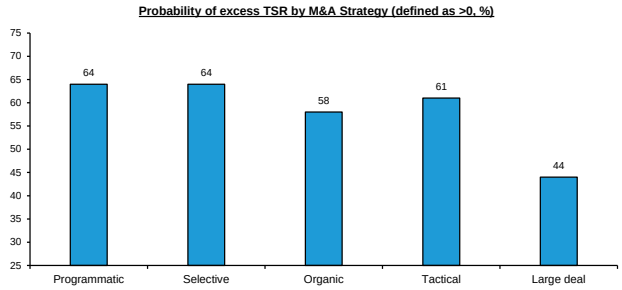
Global 1,000 nonbanking companies; Dec 1999–Dec 2010



Source: McKinsey, Dealogic, Bernstein analysis

EXHIBIT 41: **Large deals don't always create value for shareholders (2/2)**

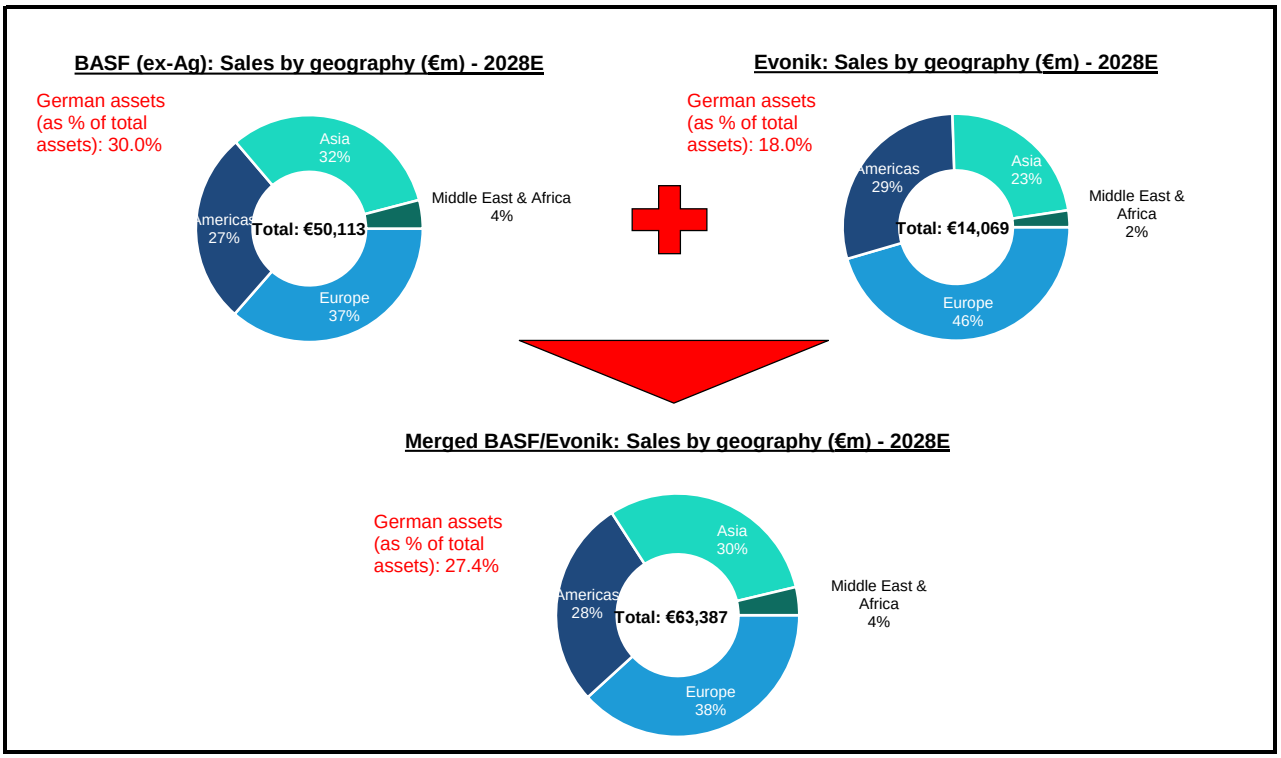
Global 1,000 nonbanking companies; Dec 1999–Dec 2010



Source: McKinsey, Dealogic, Bernstein analysis

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EXHIBIT 42: **BASF would increase its exposure to Europe, but assets in Germany create a synergy opportunity**



Eliminates intercompany sales
Source: Company information, Bernstein analysis and estimates

EXHIBIT 43: **On our synergies number there is not much downside to our 7.0x Verbund EV/EBITDA multiple to cancel any delivered synergies**

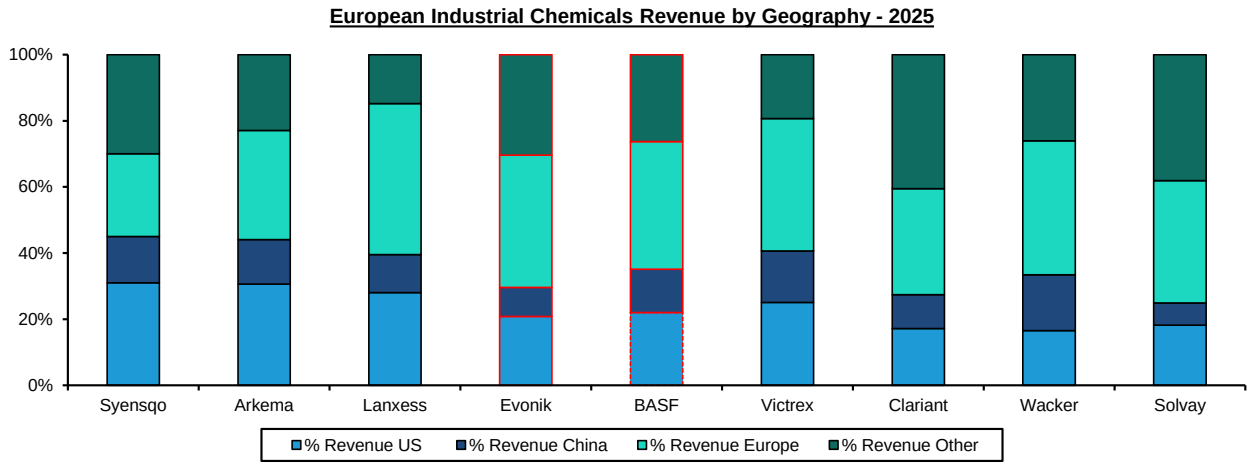
FY30E Standalone/Merged Share price	BASF/EVK Merged - Cost disynergies: - €100m (-0.7% of sales)	BASF Standalone	BASF/EVK Merged - Cost synergies: €617m (4.2% of sales)	BASF/EVK Merged - Cost synergies: €1,105m (7.5% of sales)	Cost synergies: €1,473m (10.0% of sales)
EBITDA 30E	9,061	6,884	9,777	10,265	10,633
EV/EBITDA multiple	**7.1x**	**7.0x**	**6.6x**	**6.2x**	**6.0x**
Implied EV	64,124	48,185	64,124	64,124	64,124
Net debt	-13,059	-4,032	-13,059	-13,059	-13,059
Share count	922	814	922	922	922
Implied 30E share price	**55**	**55**	**55**	**55**	**55**

Source: Company information, Bernstein analysis and estimates

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EXHIBIT 44: **China and the US are very important regions for European chemicals companies**

BASF likely higher % China now the Zhanjiang Verbund is contributing



Source: Company information, Bernstein analysis and estimates

TWO EUROPEAN CHAMPIONS WHERE WE SEE THE LOGIC

Despite our reservations about BASF-Evonik, we do see an opportunity for value-creating chemicals M&A in Europe. Contemplating hypothetical but synergistic combinations, we believe the industrial logic for the following transactions could make sense for our Outperform rated stocks. In each case we see both business overlap and a chance to create a European champion to defend against external threats. **We briefly examine Syensqo-Victrex (NC) and BASF-INEOS Chemicals (private).**

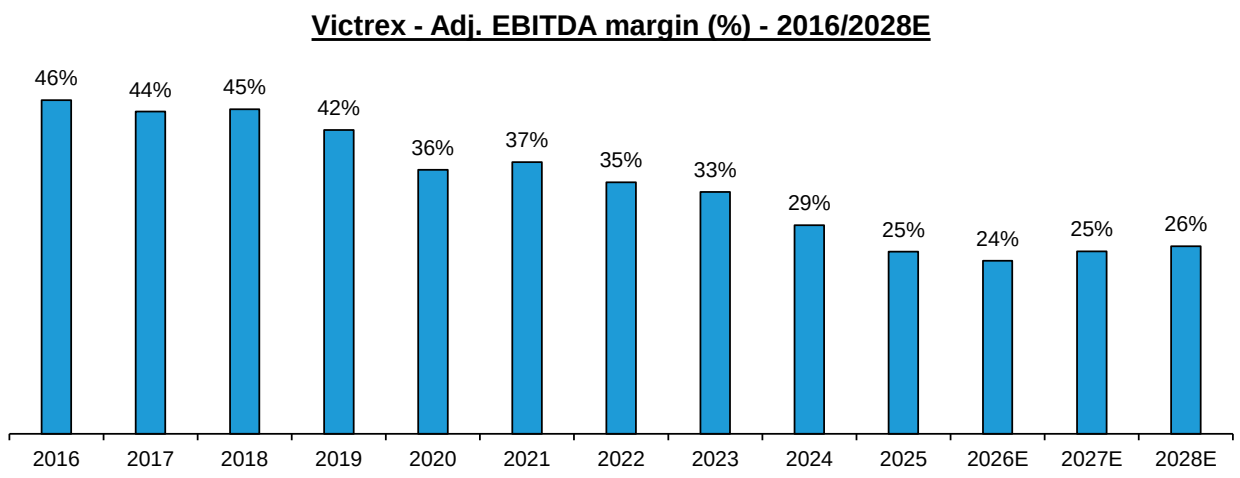
SYENSQO - VICTREX: A EUROPEAN POLYMERS CHAMPION

Syensqo could use proceeds from its ongoing P&C strategic review to acquire Victrex, a leading technology polymer business that has fallen on harder times (Exhibit 45). Despite Victrex's EBITDA margins declining c. 20 percentage points in the last decade, Victrex arguably still has the premier PEEK brand (e.g. the Invibio medical sub-brand). We think Syensqo's greater scale and footprint could help find more outlets for Victrex's high class products and reduce Victrex's production costs. The portfolios are complementary. Victrex covers only the top two tiers of the polymer performance pyramid (PEEK and other PAEK), while Syensqo's strengths sit both in the tiers below (PAI/PPS/LCP, sulfones, specialty and engineering polymers) but also has its own PEEK and PAEK grades

With China ramping PEEK capacity, some consolidation may be useful, absent quotas. China has an estimated 3,000–4,000 tpa of nameplate PEEK capacity against global demand of about 18,000 tpa. Domestic grades are priced about 20–25% below imports, and standard-grade pricing is expected to keep falling through 2026–28. Aerospace, medical and semiconductor applications remain protected by qualification barriers. Combining Victrex and Syensqo might be one way of competing against this increasing competition through shared monomer sourcing and bundled offers across tiers. However, the extent of the synergy potential is also very dependent on antitrust scrutiny.

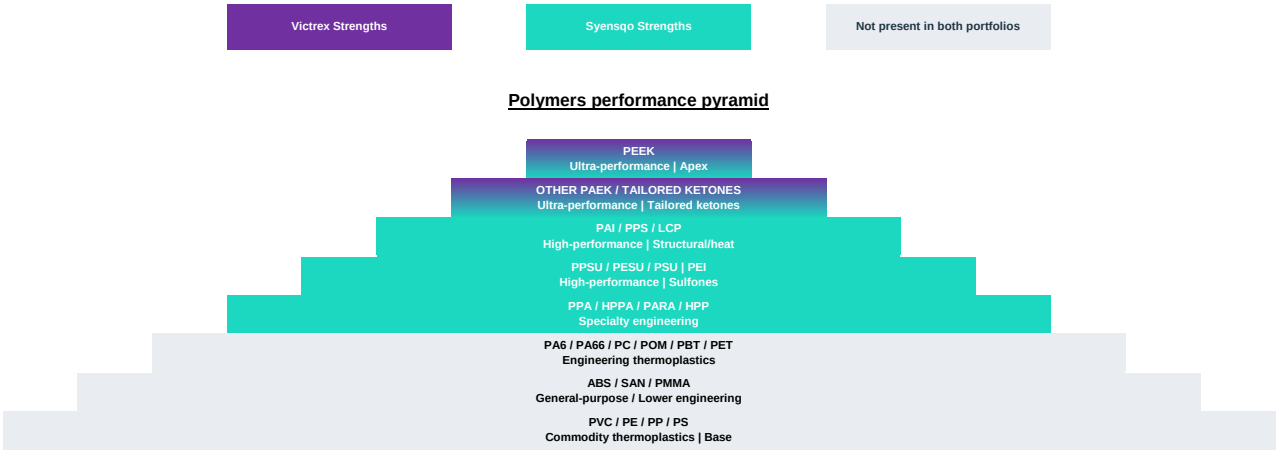
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EXHIBIT 45: **Victrex's margins have almost halved in the past 10 years**



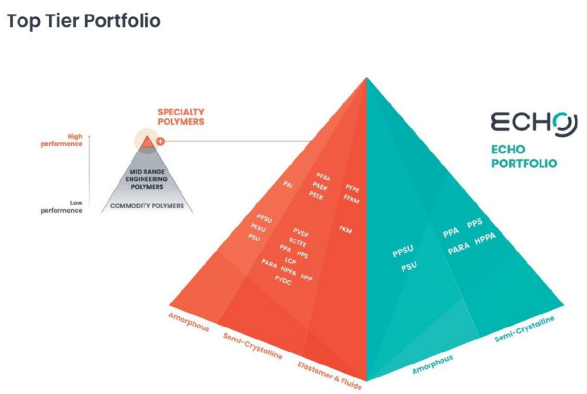
Source: Company information, Bloomberg, Bernstein analysis

EXHIBIT 46: **Syensqo has a deeper polymer portfolio than ultra-performance pure play Victrex**



Source: Company information, Bernstein analysis

EXHIBIT 47: **Syensqo's polymers portfolio**



Source: Syensqo

EXHIBIT 48: **Victrex's polymers portfolio**



Source: Victrex

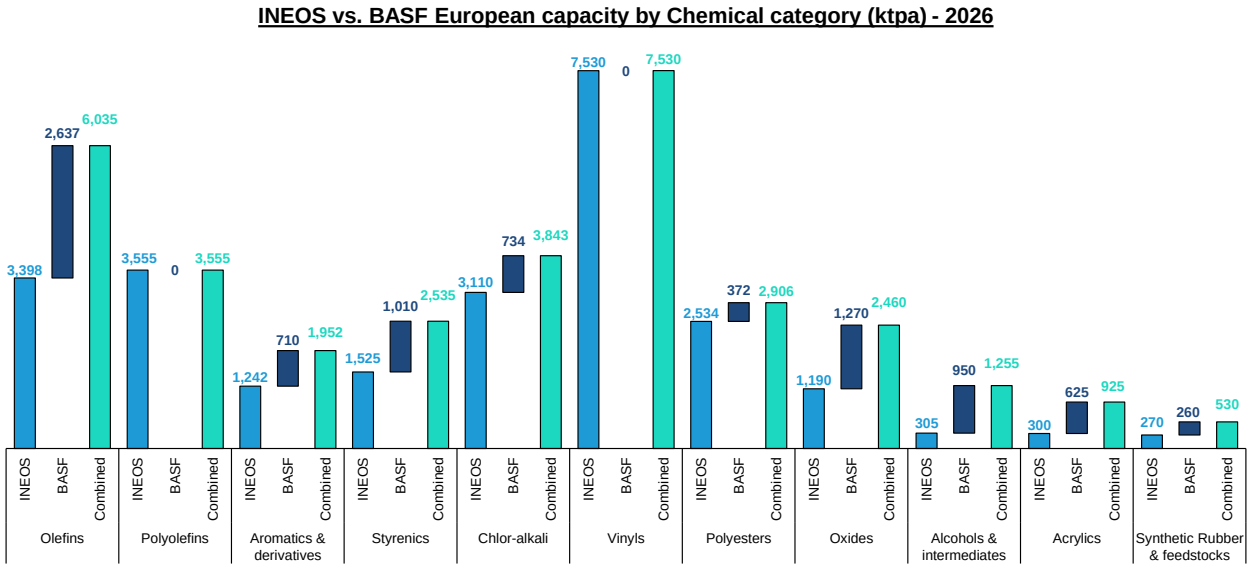
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BASF-INEOS CHEMICALS (PRIVATE): THE EUROPEAN UPSTREAM COLOSSUS

If we're dreaming, why not dream big? This is an easy thing to write from the position of a sell-side analyst. And we do not know whether INEOS would be a willing partner for their chemicals business alone - we would not like BASF to acquire Manchester United - but if BASF are going to do a transformative transaction, we believe they should dream bigger than Evonik.

A BASF-INEOS combination could be transformative for the European (and global) chemical industry. According to the ICIS 2026 top 100, this would put together the two biggest European chemicals companies, ranked #1 and #6, respectively. But this merger is not purely about scale, as the two companies have meaningful business overlap. As shown in Exhibit 49, BASF and INEOS' portfolios are complementary. BASF brings leading positions in olefins, acrylics and oxides, supporting a broad downstream portfolio, while INEOS contributes substantial vinyls, polyolefins and chlor-alkali capacity where BASF has limited or no exposure. The main areas of overlap are olefins (6.0mt combined), chlor-alkali (3.8mt), oxides (2.5mt) and styrenics (2.5mt), providing significant opportunities for optimisation. As illustrated in Exhibit 50, the merged group would account for approximately 46% of European acrylics' capacity, 42% of oxides, 29% of vinyls, and 27-28% of polyolefins, styrenics and polyesters. While there may be some antitrust divestments required, BASF-INEOS would create a global heavyweight with meaningful potential for synergies across assets, personnel and more, and likely would be less worrying for the German labour unions. A deal could also free up cash for INEOS owner Jim Ratcliffe to acquire a larger stake in Manchester United…

EXHIBIT 49: **A combined BASF/INEOS would create a gigantic European Chemical player pre-remedies**



This list of chemical categories is not exhaustive and excludes many intermediates and downstream chains for simplification

Olefins: Ethylene, Propylene

Polyolefins: HDPE, LLDPE, LDPE, Polypropylene

Aromatics & derivatives: Benzene, Mixed-Xylene, Cumene, Cyclohexane, Phenol

Styrenics: Styrene, Polystyrenes, ABS

Chlor-alkali: Chlorine, Caustic Soda

Vinyls: EDC, VCM, PVC

Polyesters: Para-xylene, PTA, DMT, Mono Ethylene Glycol, PET Bottle Grade

Oxides: Ethylene oxide, Propylene oxide

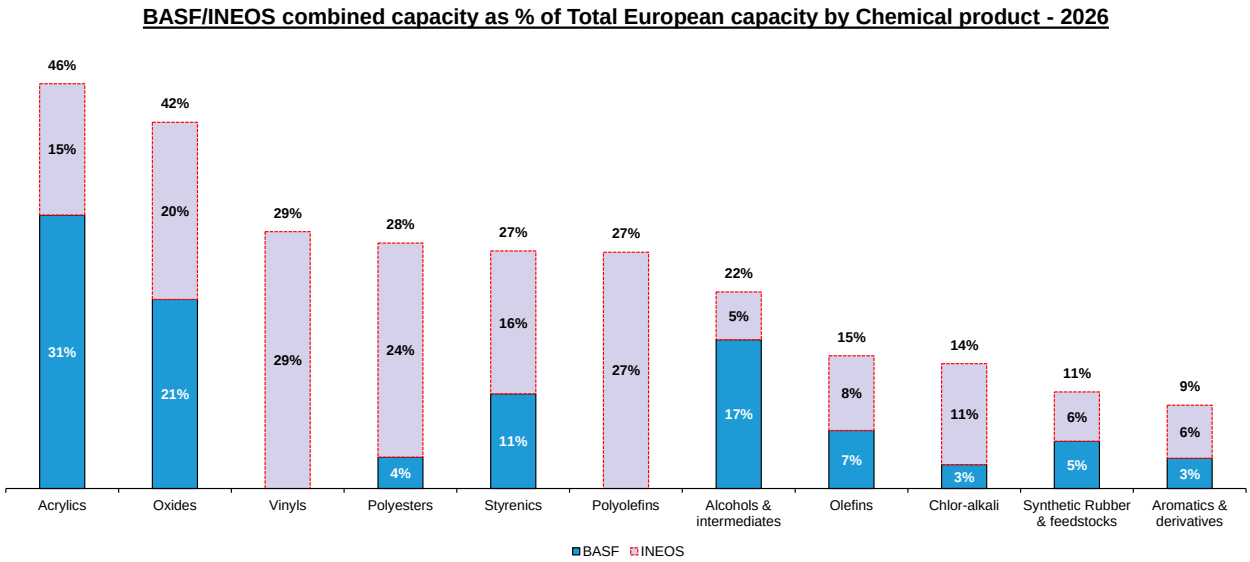
Alcohols & intermediates: Methanol, Isopropanol, 2-Ethylhexanol, iso-Butanol, n-Butanol

Acrylics: Acrylic Acid, Acrylonitrile

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Synthetic rubber & feedstocks: Butadiene, Polybutadiene, SB Rubber
Source: Bloomberg, Company information, Bernstein analysis and estimates

EXHIBIT 50: **Such a merger would surely consolidate the European chemical industry**



This list of chemical categories is not exhaustive and excludes many intermediates and downstream chains for simplification

Olefins: Ethylene, Propylene

Polyolefins: HDPE, LLDPE, LDPE, Polypropylene

Aromatics & derivatives: Benzene, Mixed-Xylene, Cumene, Cyclohexane, Phenol

Styrenics: Styrene, Polystyrenes, ABS

Chlor-alkali: Chlorine, Caustic Soda

Vinyls: EDC, VCM, PVC

Polyesters: Para-xylene, PTA, DMT, Mono Ethylene Glycol, PET Bottle Grade

Oxides: Ethylene oxide, Propylene oxide

Alcohols & intermediates: Methanol, Isopropanol, 2-Ethylhexanol, iso-Butanol, n-Butanol

Acrylics: Acrylic Acid, Acrylonitrile

Synthetic rubber & feedstocks: Butadiene, Polybutadiene, SB Rubber
Source: Bloomberg, Company information, Bernstein analysis and estimates

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